



TAX PLANNING

Types of Taxes to Which Individuals Are Subject

1. Employment-related Taxes:

- Taxes on earned income by national, regional, and local governments.

2. Value-added Taxes (VAT):

- Consumption tax on each production step and at the sale. Rates vary from 10% to 20%.

3. Sales Taxes:

- Imposed at the point of sale on retail goods and services by various governments. Different from VAT as it's collected from consumers at sale.

4. Property Taxes:

- Based on the assessed value of real property.

5. Excise Taxes:

- Assessed on specific products. Can be a fixed percentage (ad valorem) or a fixed amount (specific).

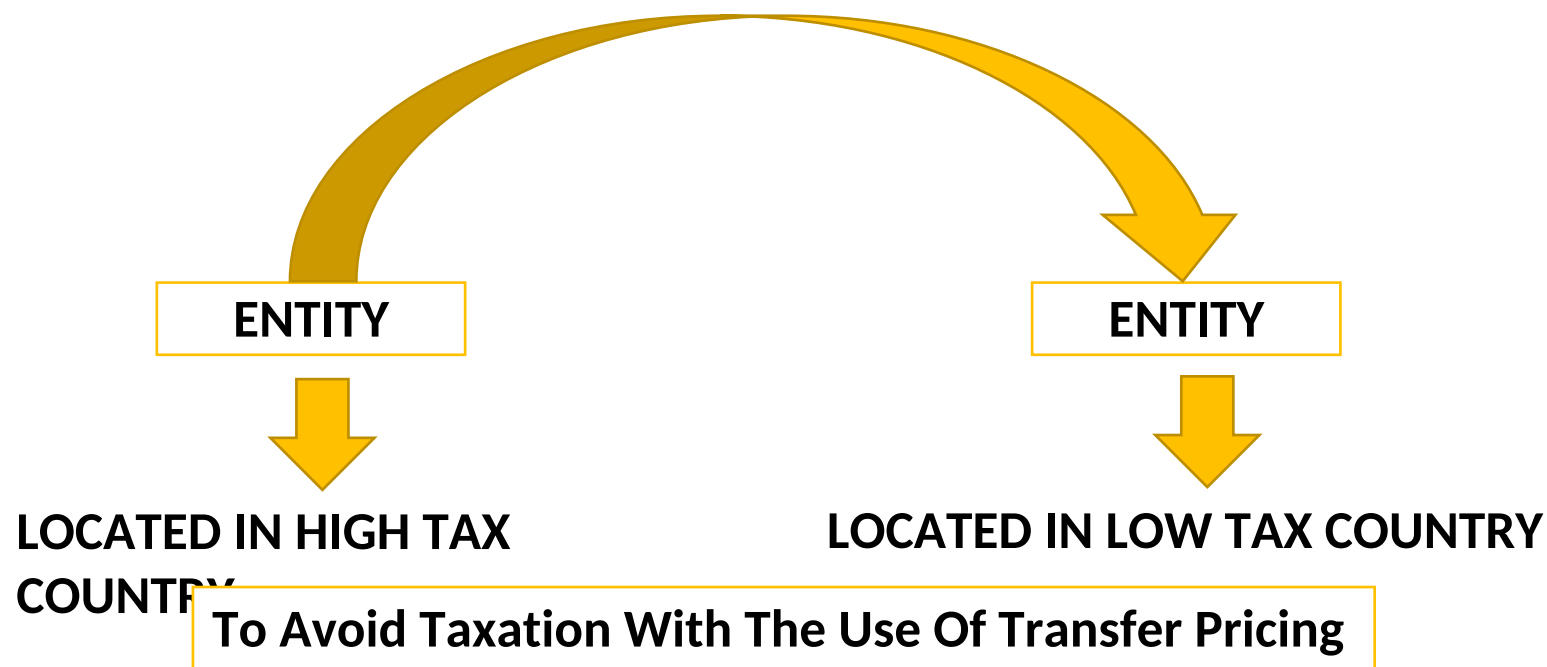
6. Estate Transfer/Wealth Distribution Taxes:

- Imposed on the distribution of estate assets

- Transfer pricing involves transactions of goods or services between divisions or departments within the same company.

Tax Implications:

- Significant impact on the profit and tax liabilities of the involved organizations.
- Territories are establishing strict guidelines around transfer pricing to address these issues.



NOTE:

Arriving at appropriate intra company transfer pricing can be difficult, and is beyond the scope of this course.

1. **Total Income:** All income before exclusions.
2. **Adjustments to Income:** Items that increase or decrease income.
3. **Exemption:** Excludes income from tax calculation.
4. **Deduction:** Reduces taxable income for expenses.
5. **Adjusted Gross Income:** Income after adjustments.
6. **Filing Status:** Status affecting tax rate.
7. **Marginal Tax Bracket:** Rate on highest taxable income.
8. **Phase-out:** Reduction of deductions based on income.
9. **Source:** Where income is earned, impacting tax.
10. **Tax Credit:** Direct reduction of tax owed.
11. **Tax Avoidance:** Legal tax reduction strategies.

- 12. **Tax Deferral:** Postponing tax payment.
- 13. **Tax Evasion:** Illegal avoidance of tax payments.
- 14. **Tax Return:** Document reporting income and tax.
- 15. **Tax Treaty:** Agreement on cross-border taxation.

A financial planner who is helping a client with his or her tax liability will be well-served to have a more complete knowledge of relevant tax terminology and tax experts they can collaborate with.

- Includes all owned items, tangible (e.g., jewelry, real estate) or intangible (e.g., stocks). **Types of Property:** Personal (e.g., jewelry, furniture), Real (e.g., land, houses), Investments or Securities (e.g., stocks, bonds).
- **Tax Implications:** Some regions with low income tax may compensate with higher property or use taxes.
- **Strategic Planning:** Higher-income individuals often have more options to manage tax liabilities through income shifting or deferral.
- **Types of Property:** We can highlight three distinct categories of property:
 1. Personal
 2. Real
 3. Investments or securities

NOTE:

Stock certificate, don't be fooled into thinking it's a tangible item. It still fits into the intangible category, because the piece of paper merely represents the intangible item. The paper has no tangible value by itself

Capital Assets: Gains and Losses

Capital Assets: Used to generate financial returns, distinct from business-use assets like inventory or receivables.

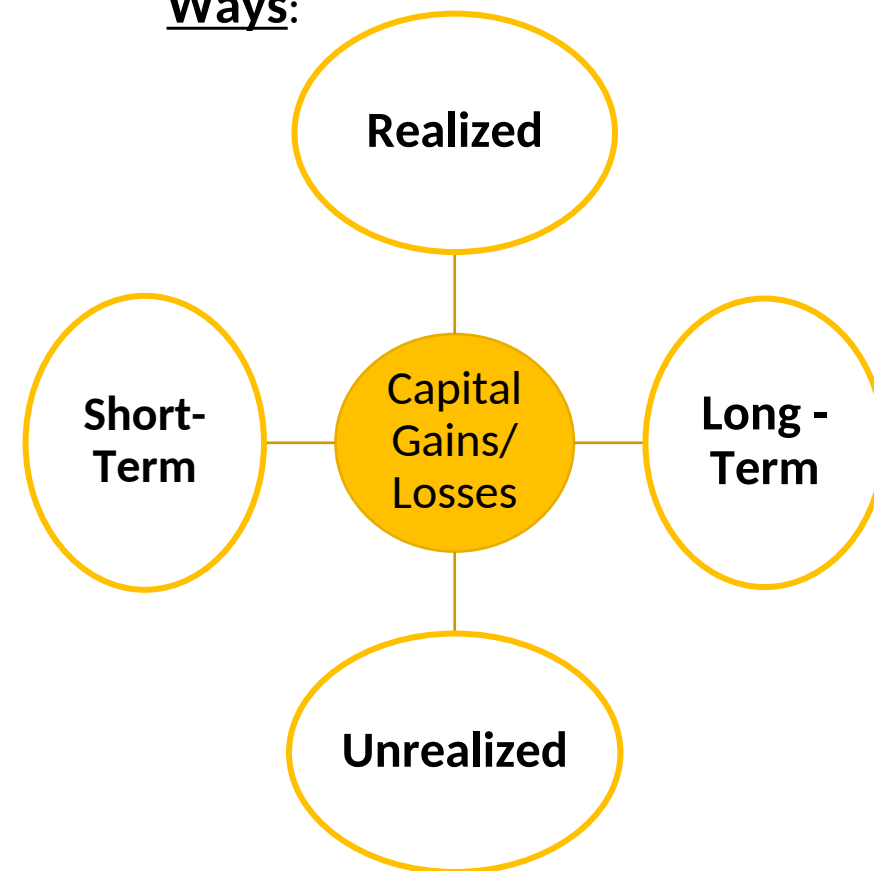
Capital Gains and Losses: Realized upon sale, categorized separately for tax treatment.

Tax Treatment: Often favorable compared to ordinary income tax rates in many territories.

Types of Capital Gains/Losses:

1. **Realized:** Gains or losses realized upon sale.
2. **Unrealized:** Gains or losses based on asset value changes without sale.
3. **Short-term:** Held for less than one year, typically taxed at higher rates.
4. **Long-term:** Held for one year or more, usually taxed at lower rates.

Capital Gains Or Losses May Be Categorized In Four Ways:



How Accounting Fits Into the Tax World

Accounting and Taxation Connection:

- Accountants ensure compliance with tax laws and standards.
- They follow accepted accounting principles, crucial for accurate financial reporting.

Importance of Consistent Standards:

- Consistency prevents economic chaos and ensures reliable financial data.
- Facilitates accurate analysis, decision-making, and investor confidence.

Benefits of Consistent Standards:

- Enhances transparency, comparability, and accountability across organizations.
- Supports clients in understanding financial status and investors in evaluating opportunities.

Role for Financial Planners:

- Understanding basic accounting principles aids collaboration with accountants.
- Enables comprehensive client advice on tax planning and compliance.

General Accounting Principles Around the Globe

- Two main **accounting standards** guide just about all territories.
 1. **Generally Accepted Accounting Principles (GAAP)** in the U.S. and similar standards elsewhere.
 2. **International Financial Reporting Standards (IFRS)** used in most other countries for transparency and efficiency
- IFRS standards are designed to promote transparency, accountability, and economic efficiency, and are permitted or required by at least 125 jurisdictions (IFRS, 2017).

IFRS Standards Examples:

IFRS STANDARDS
Conceptual framework for financial reporting
First-time adoption of IFRS
Business combinations
Insurance contracts
Financial instruments: Disclosures
Operating segments
Consolidated financial statements
Fair value measurement
Leases

1. **Public Sector Organizations:** Operate under government regulation and taxation structures.
2. **Private Sector Organizations:**
 - **Individual Ownership:** Simplest form where profits and losses directly affect the owner's income.
 - **Partnerships:** Multiple individuals share profits and losses directly.
 - **Joint Stock Companies:** Raise capital through shares; can be private or public limited.
 - ❖ Private limited: Shares held by members, not publicly traded.
 - ❖ Public limited: Shares offered to the public, with regulatory oversight.
3. **Other Structures:** Various forms exist to limit liability and manage ownership diversity.
4. **Regular Corporations:** Diverse in structure and ownership, ranging from closely held to publicly traded.

We will not explore the specific tax ramifications of corporate organizational structures, because of their great diversity and variations within territories.

Types of Taxpayers:

1. **Foreign Nationals/Expatriates:** Individuals living and working outside their home territory, subject to tax laws of both their host and home countries. They may benefit from foreign tax credits or income exclusions.
2. **Residents Abroad:** Former residents who maintain assets or income sources in their previous territory, subject to tax liabilities there.

Tax Compliance:

- Compliance includes reporting all income and assets to the relevant tax authorities, following local tax laws, and obtaining necessary certifications before leaving a territory.

Taxation of Assets:

- Real estate, retirement funds, and investment portfolios may be subject to different tax rules depending on their location and the taxpayer's residency status.

Complexities and Challenges:

- Cross-border tax situations can be complex due to varying tax regimes, treaties, and compliance requirements.
- Seeking professional advice is crucial to avoid mistakes and legal liabilities.

Ethical Considerations:

- Attempting to evade taxes is illegal and unethical.
- Enhanced international cooperation and technology make tax evasion increasingly difficult and risky.

Source Rules: Interest and Dividend Income

1. Interest Income:

Source Determination: Interest income is generally sourced at the payer's place of residence.

1. **Individuals, Partnerships, Trusts:** Sourced where the payer resides.
 2. **Corporations:** Sourced at the place of incorporation.
- **Domestic Payers:** Interest paid by resident individuals, partnerships, trusts, and corporations in your territory is considered domestic income.
 - **Foreign Payers:** Interest paid by foreign corporations is considered foreign income, typically sourced from the corporation's domicile.
 - **Complex Cases:** If a foreign corporation has a major office in your territory, interest income may be sourced from either territory based on specific rules.

2. Dividend Income:

- **Source:** Generally from the corporation's place of incorporation. May change if significant income is from another territory.

Income from personal services is sourced where the services are performed.

Complex Scenarios:

- **Periodic Services in Foreign Territories:** Individuals performing services in multiple territories face source determination challenges.
- **Example:** National Hockey League (NHL) teams and players earning income from games played in multiple territories.
- **Employer Income:** Income of employers from employee activities in foreign territories can be complex to source.
- **Professional Advice:** Due to complexities, financial planners should refer clients to experts for cross-border income issues.
- **Client Awareness:** Planners should inform clients about potential difficulties with cross-border income to manage expectations and compliance.

Retirement – Pension Plan Distributions

Territories offer qualified retirement plans with tax benefits, either tax-free or tax-deferred.

Single Territory Simplicity:

- If all retirement benefits are within one territory, the tax rules are straightforward.

Multiple Territories Complexity:

- Having retirement benefits in multiple territories complicates the tax situation as different territories have different tax rules for retirement benefits.

Tax Treaties:

- Tax treaties may define how benefits are taxed but are not always comprehensive.
- Benefits are typically paid in the current territory of residence.

Distribution Taxation:

- Plan distributions may be taxed by the current territory of residence or the territory where the plan originated.
- Taxes may be withheld in both territories, requiring tax return filings to recover withheld taxes.

Lump Sum vs. Periodic Distributions:

- Lump sum distributions are often taxable and may follow different rules than periodic payments.

Plan Qualification:

- A retirement plan qualified in one territory may not be considered qualified in another, affecting the tax status of earnings.

Professional Advice:

- Due to the complexity, consulting with a cross-border tax professional is highly recommended for accurate tax planning.

Taxes can be legally assessed, and clients must usually pay some portion.

Focus: Strategic planning to control the amount of tax levied and its payment.

Simple Strategies:

- Properly completing and submitting forms (e.g., VAT refunds).
- Methods to reduce or eliminate double taxation through legal agreements between jurisdictions.

Double Taxation:

- Occurs when two jurisdictions tax the same income.
- Coordination required to prevent double taxation, especially in economic unions like the EU.

Economic Cooperation:

- Unified financial markets and coordinated tax strategies in economic unions.
- Example: VAT replacing sales and turnover taxes in European territories.

Jurisdiction Basis:

- **Nationality:** Taxing all income of citizens or domestic companies regardless of where it's earned.
- **Territoriality:** Taxing all entities earning money within the territory, focusing on the income source.
- **Source Jurisdiction:** Imposing tax on income like royalties, investment income, rent earned by nonresidents.

Primary and Secondary Taxing Authority:

- **Primary Authority:** Place of territorial connection (where the income is earned).
- **Secondary Authority:** Territory of nationality or residence.
- **Avoiding Double Taxation:** Secondary authority usually credits taxes paid in the primary territory.

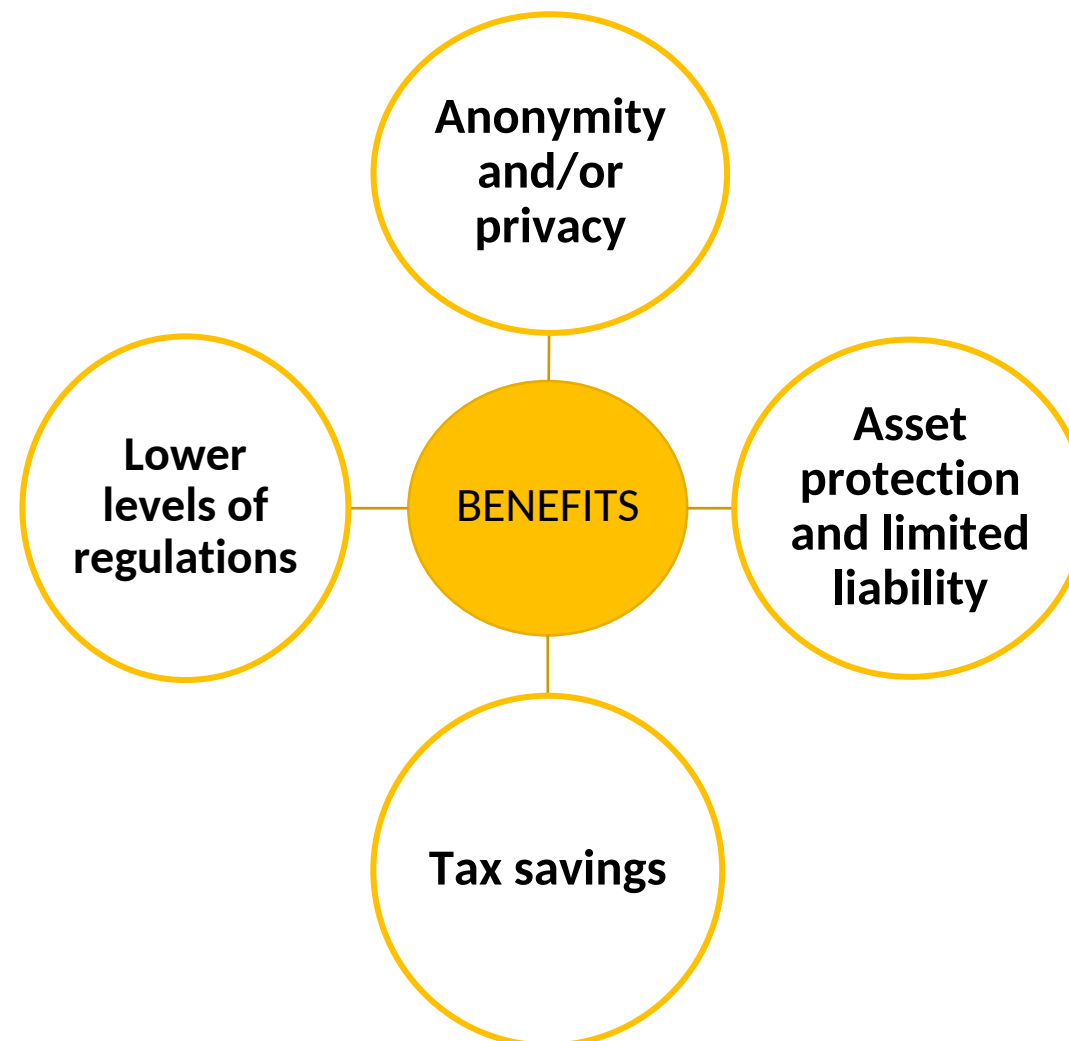
Tax Collection Practice:

- Territories typically collect taxes only on income with which they have a connection.

Offshore investing involves placing money in jurisdictions outside the investor's country of residence.

Considerations and Risks:

- **Legality:** Differentiates between tax avoidance (legal) and tax evasion (illegal).
- **Legislative Changes:** Laws may change, potentially making previously legal activities illegal.
- **Reallocation Concerns:** Changing laws can tie up funds in litigation, causing access issues.
- **Coordination:** Essential to coordinate strategies to mitigate risks such as increased taxation and lack of access to funds.



Tax-Free Zones: Certain territories offer zones with no excise tax, beneficial for small business owners. These zones are generally viewed as legal and legitimate.

Strategic Planning:

- **Evaluate Legality:** Ensure offshore strategies comply with current laws.
- **Prepare for Changes:** Anticipate and plan for potential legislative shifts.
- **Access to Funds:** Consider the risk of funds becoming inaccessible due to legal disputes or repatriation processes.

Income shifting involves transferring income from a person in a higher tax bracket to someone in a lower tax bracket.

Common Implementation:

- Often done by gifting money from a parent to a child.

Benefits:

- **Tax Reduction:** Reduces taxable income for the person in a higher tax bracket, potentially lowering their overall tax liability.
- **Estate Planning:** Allows for the transfer of substantive gifts to children or other family members, reducing the taxable estate of the donor.

- The way in which payments to support an **ex-spouse and children** are treated for tax purposes varies by territory, but there are some consistencies.
- Normally, child support (i.e., ongoing payment for expenses related to rearing children) is not considered to be income to the custodial (receiving) parent.
- Such payments almost **never qualify** as a tax-deductible expense to the payer either.
- Often, the mother is awarded child custody, at least until the child reaches a certain age, and the father is responsible for making support payments.
- Support payments for children may or may not automatically end when the child reaches a certain age.
- Alimony (maintenance or support) payments to the ex-spouse may or may not qualify as income and/or a deductible expense to the payer.



- **Income Tax** : The tax that is payable by an individual, a person, or a corporate on the earned income during the specific year, as per Income Tax Rules which come into force from time to time within the said particular year.

DIRECT TAX	INDIRECT TAX
It is imposed on the taxpayer directly.	It is paid by the consumers during their consumption of Goods & Services.
It is within the purview of the Central Government.	It is within the purview of both the Central and State Governments.
Example: Income tax, Capital Gains Tax, Securities Transaction Tax, Fringe Benefit Tax, Corporate Tax.	Example: Goods and Services Tax (GST), Excise duty, Custom Duty, Service Tax, Surcharge and Cess, VAT/Sales Tax, Luxury Tax, Octroi.

- **About** : It is a statutory authority working under the Central Board of Revenue Act, 1963. CBDT is a part of the Department of Revenue under the Ministry of Finance
- **Functions** : CBDT functions to provide inputs for policy and planning of direct taxes in India and in administration of direct tax laws through the Income Tax Department.
- Other Functions are –
 1. Collection of taxes
 2. Measures for disposal of assessments
 3. Prevention and finding of tax evasion and tax avoidance
 4. Setting targets and fixing of priorities for disposal of assessments
 5. Recruitment/training/matters relating to service conditions of personnel from Income Tax
- **Usage of Taxes Collected** : This income is utilized for the welfare of the people, and for expense on defense, education, public health etc. The Ministry of Finance (MoF) is the governing authority of Income Tax laws.

Such laws help the Government in proper implementation and collection of taxes.

Central Board Of Indirect Taxes & Customs (CBIC), Central Goods & Service Tax Act (GST) ,2017

CENTRAL BOARD OF INDIRECT TAXES AND CUSTOMS (CBIC):

Former Name: Central Board of Excise & Customs

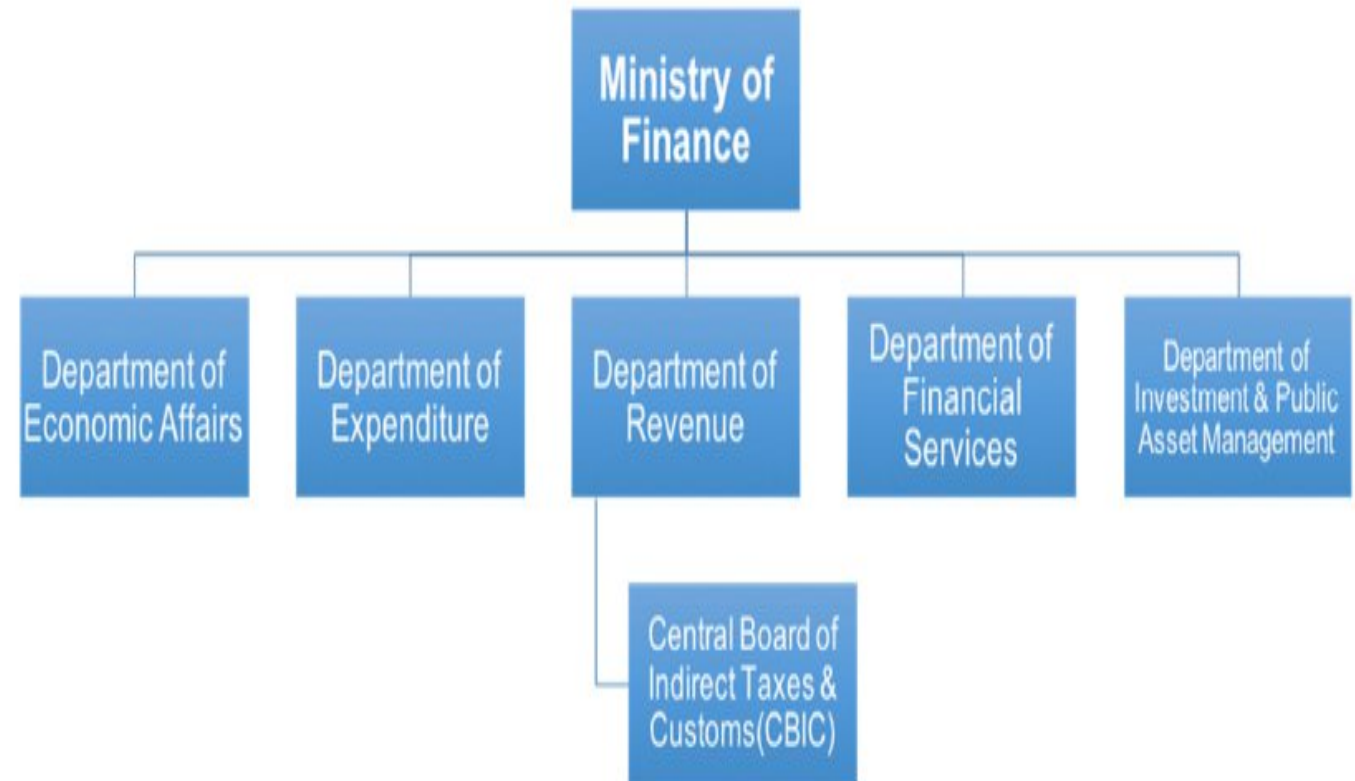
Role: Assists the Department of Revenue, Ministry of Finance, Government of India.

Functions:

- Prepares and implements policies for the levy and collection of Indirect Taxes.

Leadership:

- Headed by a Chairman
- Comprises 6 members in addition to the Chairman
- Assisted by Principal Chief Commissioners/Chief Commissioners and Principal Director Generals/Director Generals



SALIENT FEATURES

GST is a comprehensive indirect tax levy on supply of Goods and Services.

GST increases the tax base by minimizing the various exemptions provided by Central and State Government

GST subsumes various indirect tax levies in India.

Considering the federal structure of India, DUAL STRUCTURE OF GST was implemented in India.

GST ensures free flow of goods across the country.

Liquor for Human Consumption and petroleum products have been kept outside the ambit of GST.

ASSESSEE:

An 'assesse' is an individual who is liable to pay taxes to the government against income earned by him in the previous years.

Definition as per Sec 2(7)

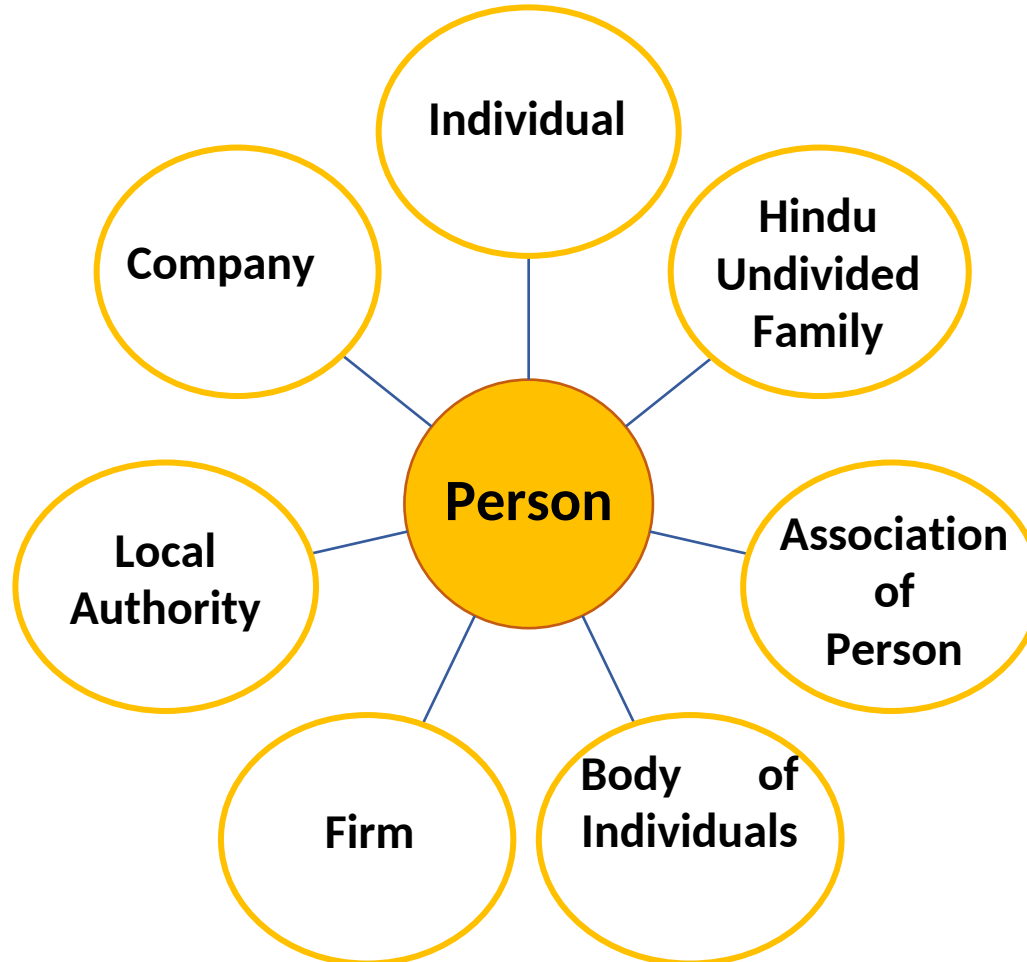
Every person in respect of whom any proceeding under the IT Act, 1961 has been taken for the assessment of his income or of the income of any other person in respect of which he is assessable, or of the loss sustained by him or by such other person, or of the amount of refund due to him or to such other person

A person who is deemed to be an assessee under any provision of the IT Act, 1961;

A person who is deemed to be an assessee in default in any provisions of the IT Act, 1961.

PERSON:

As per Section 2(31) of the IT Act, 1961, the definition of a 'Person' is inclusive and not exhaustive. It includes:



Every artificial juridical person not falling within any of the preceding sub clauses.

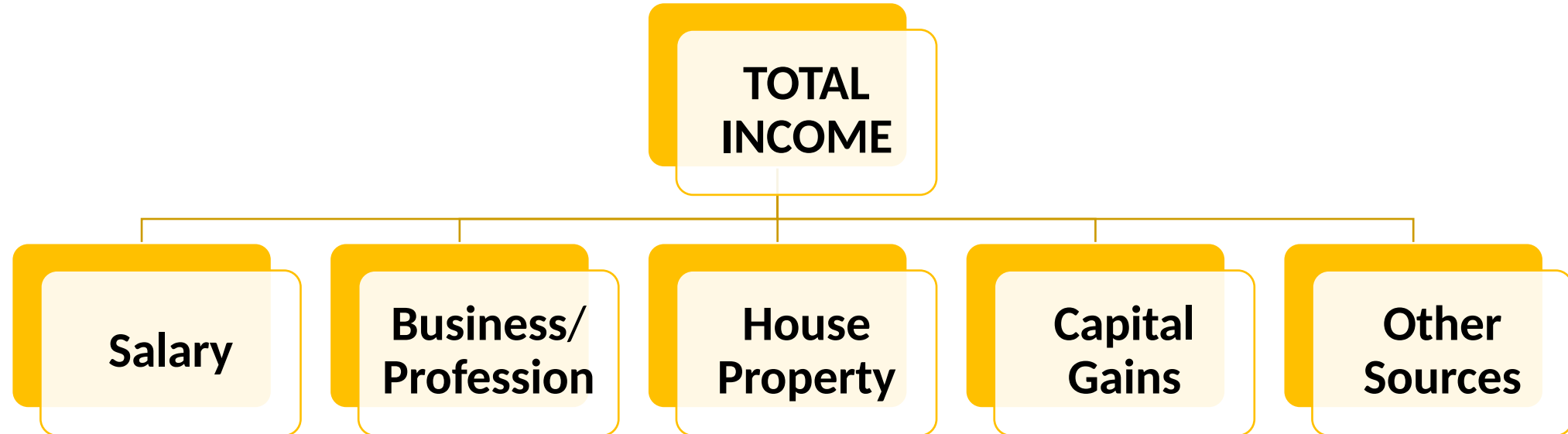
Difference between Association of Person and Body of Individuals

SR. NO	ASSOCIATION OF PERSON	BODY OF INDIVIDUALS
1	Any person can be a member	Only individuals can be member
2	There is common will and desire among the member	Under this common will and desire is lacking
3	They voluntarily join together to carry on the activities.	It is formed by operation of law
4	Example: ABC Ltd. and PQ & Co. (A firm) joins together for a particular venture.	Example: X, Y and Z join together for a particular venture but do not constitute a firm.

Section 2(24) of the IT Act, 1961, includes the following in the term “income”:

- Profits and Gains
- Dividends
- Interest on Securities and Deposits
- Voluntary Contributions to Trusts
- Value of Perquisites or Profits in Lieu of Salary
- Special Allowances or Benefits
- Benefits or Amenities from Companies
- Any Other Sum Taxable
- Capital Gains
- Winnings from Lotteries, Games, Gambling
- Employer’s Contributions to Provident or Superannuation Funds
- Gifts exceeding Rs 50,000 (cash or kind)

- All income must be classified under one of the following heads for tax purposes:

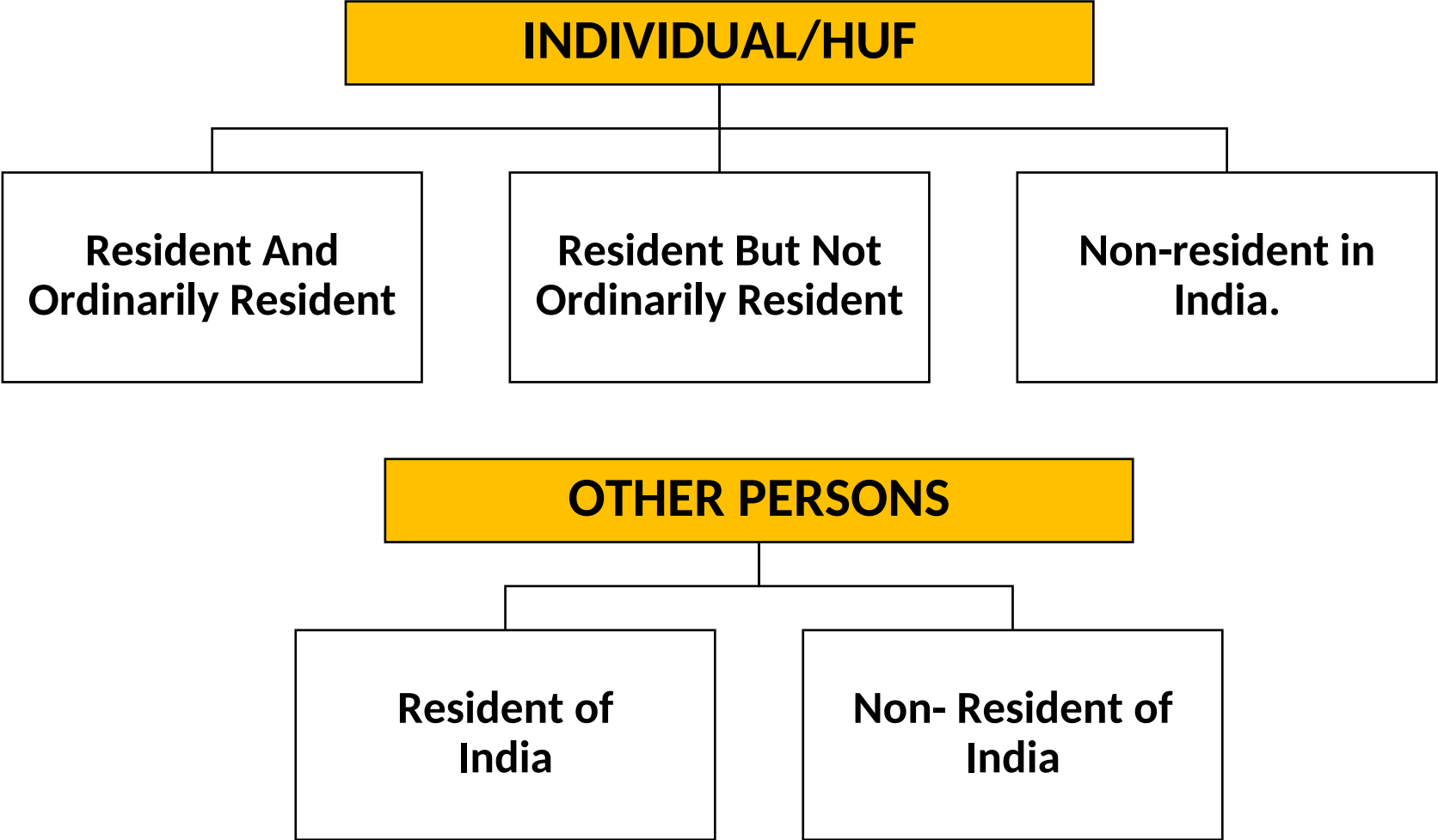


- Income from the 5 heads is computed separately.
- The incomes are aggregated after adjusting for past and present losses. The total income obtained is termed as the '**Gross Total Income**'.
- Certain deductions are allowed under Chapter VI of the IT Act, 1961.
- After deductions, we arrive at the '**Total Income**' on which the tax liability is computed.

Capital & Revenue Income & their taxability

CAPITAL RECEIPTS	REVENUE RECEIPTS	TAXABILITY
Capital receipts are the incomes derived from activities which are not part of the normal activities of the business.	Revenue receipts are related to normal activities of the business	Only receipts which are in the nature of income are taxed, and not the capital.
They are the receipts generated from the investment and financing activities of the business.	They are the income generated from the operating and sales activities of the business	The rule prevalent under the IT Act is that all revenue receipts are taxable unless one is specifically exempted; and all capital receipts are exempt from taxation unless there is a provision to tax it.
Eg.: Cash from sale of fixed assets, loans, disinvestments, insurance claims etc.	Eg.: sale of goods/services, interests earned, rent received, discount received from creditors or suppliers, dividends received, commission received, recovery of bad-debts, income from other sources, etc.	Eg.: Loans and gifts are kind of capital receipts that do not attract tax and are tax-free

Residential Status of an Individual



Individuals – Resident in India, R-OR & R-NOR, NR

➤ The residential status of an individual is determined based on **the number of days of his stay in India.**

➤ **Conditions to decide the residential status:**

a)	Stay in India during the PY is 182 days or more or OR
b)	Stay in India for the immediately 4 preceding years is 365 days or more AND 60 days or more in the relevant financial year

➤ If any individual fulfills any one of the criteria, then he is a **Resident.**

➤ If none of the criteria's are met, then he is **Non-Resident.**

➤ **In the following situations, second basic condition will not be taken into account-**

a) Indian citizen leaves India during the PY for an employment outside India

b) Indian citizen leave India during the PY as a crew member of Indian Ship

c) Indian citizen or Person of Indian origin comes to India during the PY for a visit.

➤ Now let us look at additional conditions:

a)	Has been a resident of India in at least 2 out of 10 years immediately previous years and
b)	Has stayed in India for at least 730 days in 7 immediately preceding years

➤ If a person is a Resident- as determined by the Basic conditions, then we need to check the Additional conditions.

1. If a resident fulfills both the additional conditions, then he is a **Resident & Ordinarily resident**.
2. If a resident does not fulfill any/ either of the two conditions, then he is a **Resident but Not Ordinarily Resident**.

(A person is deemed to be of Indian origin if he, or either of his parents or any of his grand-parents, was born in undivided India. The grand-parents include both maternal and paternal grand-parents.)

Amendments to Residential Status Rules

Income Above Rs 15 Lakh:

New Condition: For Indian citizens or persons of Indian origin staying outside India but visiting India:

- If total Indian income (excluding foreign sources) exceeds Rs 15 lakh during the previous year.
- **Stay Period Change:** '60 days or more' replaced with '120 days or more' to classify as "Not Ordinarily Resident".
- **Effect:** Reduces the relaxation from 182 days to 120 days for such individuals.

Deemed Residency (Finance Act, 2020):

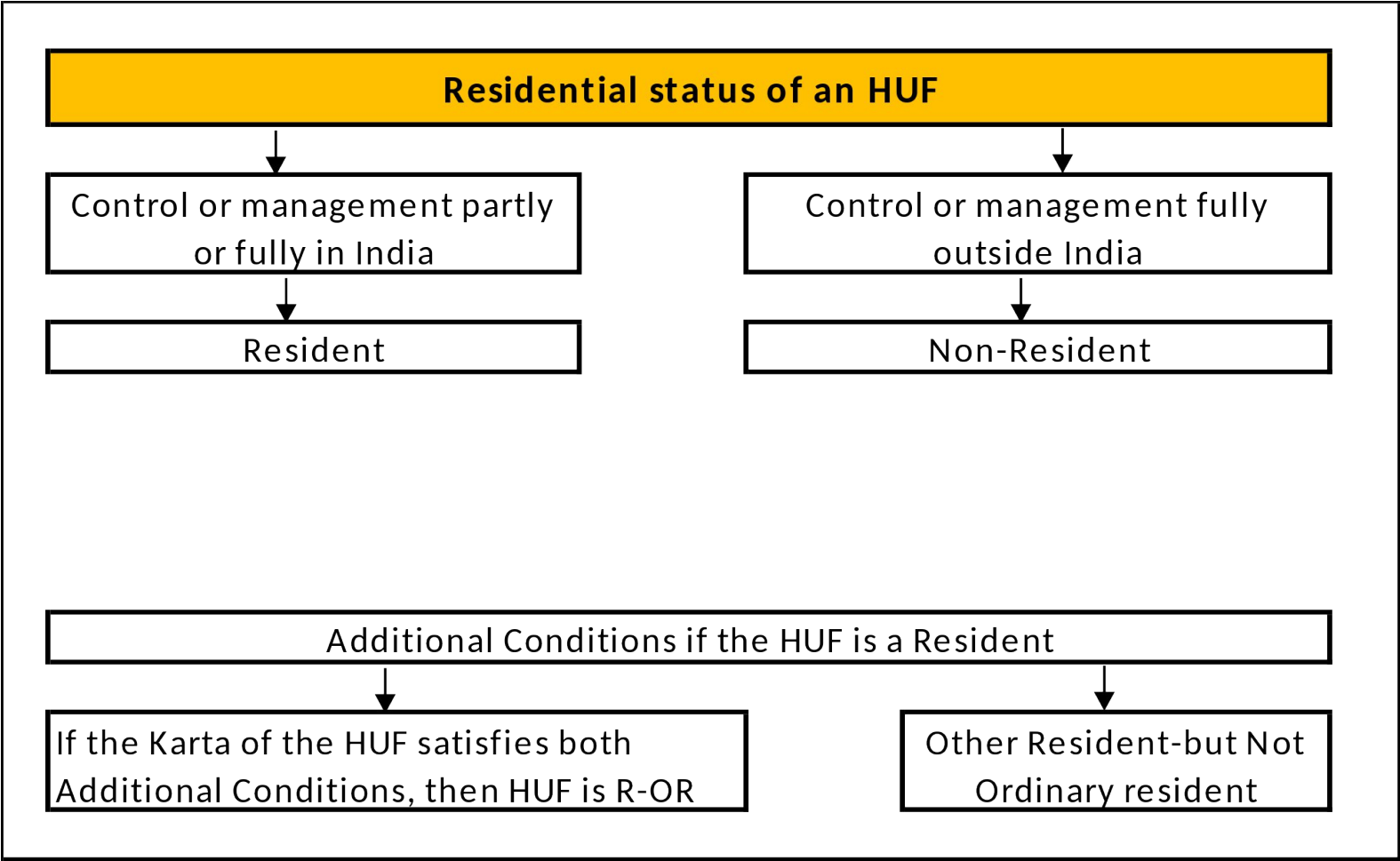
- **Criteria:** Indian citizens with India-sourced taxable income exceeding Rs 15 lakh.
- **Condition:** If not liable to tax in any other jurisdiction due to domicile or residence status.
- **Status:** Deemed to be a resident of India and treated as "Not Ordinarily Resident".
- **Purpose:** To prevent tax avoidance by ensuring such individuals are tax residents in India if they do not qualify as tax residents elsewhere.

Residential Status of a Foreign company:

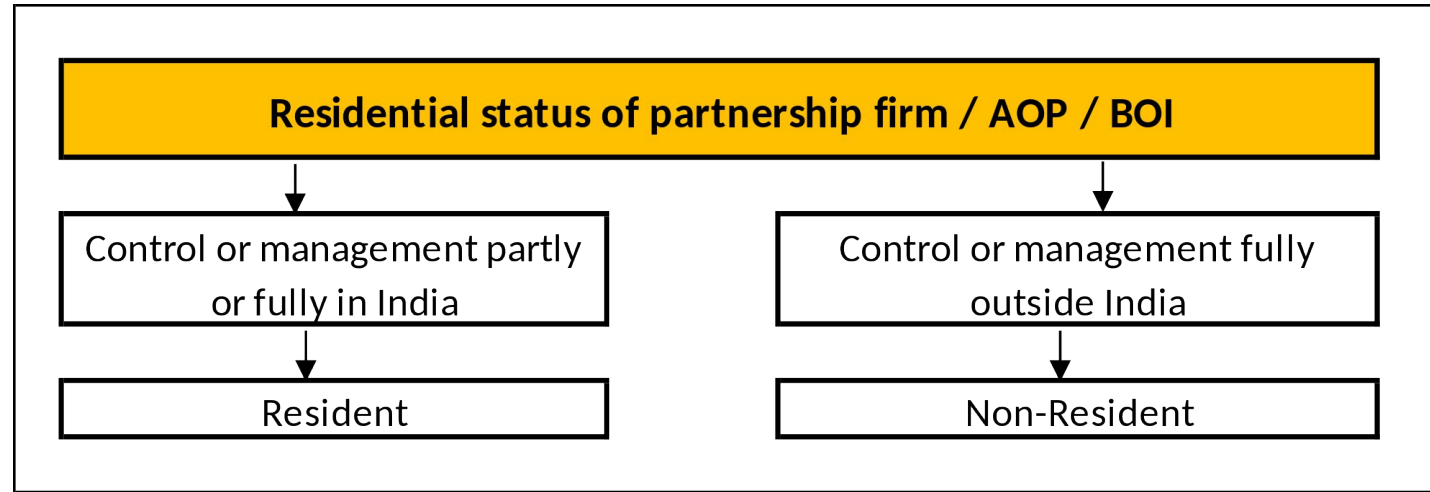
Sr.NO	Residential status of a company	
	Indian Company	Foreign company
1	It is an Indian company, or	It is not an Indian company, or
2	The control and management of its affairs is situated wholly in India	The control and management of its affairs is situated wholly or partially outside India

- From the assessment year 2018-19 a foreign company will be resident in India if its place of effective management (POEM), during the relevant PY, is in India.
- The POEM means a place where key management and commercial decisions, necessary for the conduct of the business of an entity as a whole, are made.

Residential Status of an HUF:



Residential Status of a firm & Association of Person:



- In the case of a firm the control and management is vested in its partners, whereas in case of AOP it is vested in its principal officer.
- Every other person is resident in India if control and management of its affairs is, wholly or partly, situated within India during the relevant previous year.
- On the other hand, every other person is non-resident in India if control and management of its affairs is wholly situated outside India.

INDIAN INCOME:

1

Income is deemed to accrue (or arise) in India if it is derived from any source situated wholly or partly in India.

2

Income is deemed to accrue (or arise) in India if it is derived from any source situated wholly or partly in India.

3

Income is deemed to accrue (or arise) in India if it is derived from any source situated wholly or partly in India.

FOREIGN INCOME :

Any income is said to be foreign income if it satisfies the following two conditions:	
	Income is not received (or not deemed to be received) in India
	Income does not accrue or arise (or does not deemed to accrue or arise) in India.

- The term 'salary' is an inclusive definition and includes monetary as well as non-monetary items. Also, there are different definitions of 'salary' for calculating exemptions in respect of gratuity, house rent allowance etc.

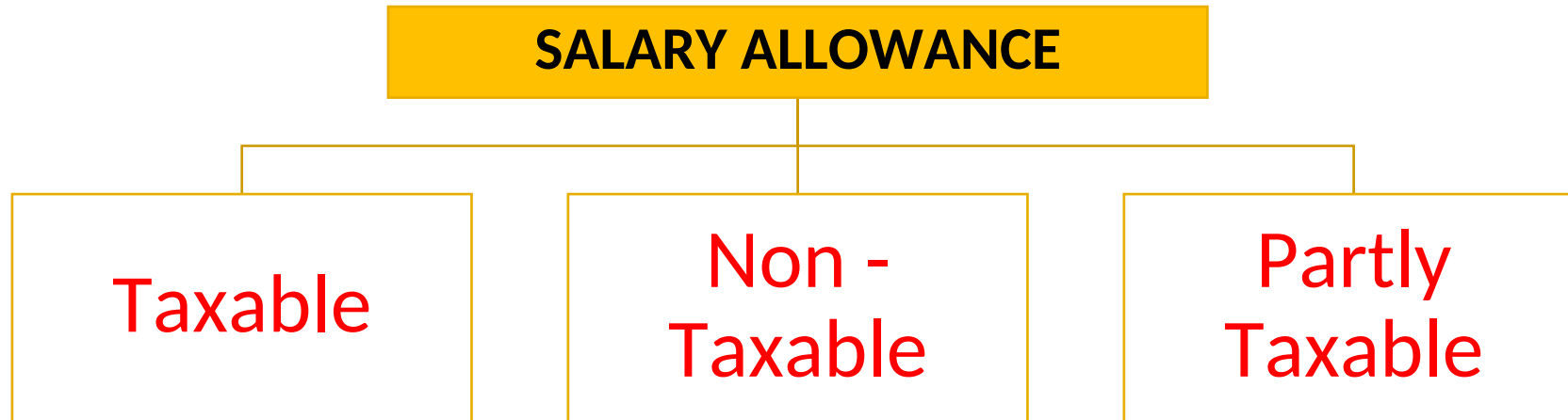
'Salary' under section 17(1), includes the following:

- ✓ Wages;
- ✓ Pension;
- ✓ Annuity;
- ✓ Gratuity;
- ✓ Advance Salary paid;
- ✓ Fees, Commission, Perquisites, Profits in lieu of or in addition to Salary or Wages;
- ✓ Annual accretion to the balance of Recognized Provident Fund;
- ✓ Leave Encashment;
- ✓ Transferred balance in Recognized Provident Fund;
- ✓ Contribution by Central Govt. or any other employer to Employees Pension A/c as referred in Sec. 80CCD.

Various Heads of Salary and their Taxability

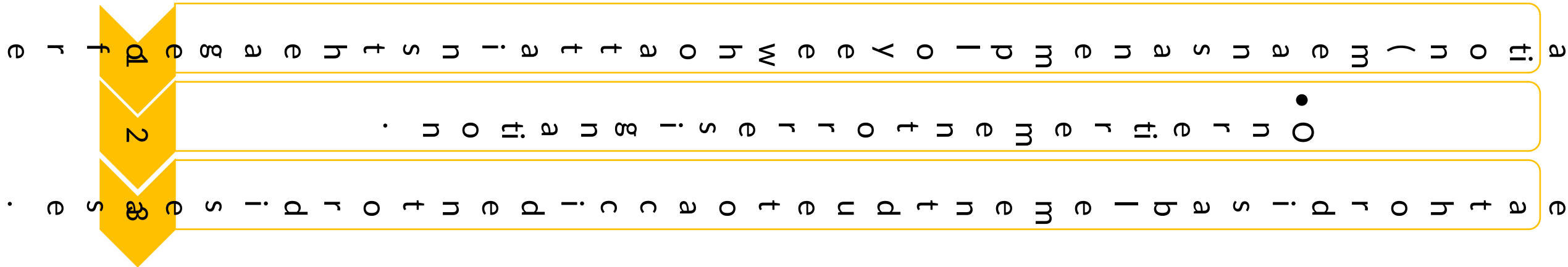
Various allowances including Dearness Allowance

- Any monetary benefits offered by the employer to its employees for meeting expenditures, over and above the basic salary, are known as Salary Allowances.
- According to the IT Act, allowances are added to the salary of an individual and taxed under the head 'Income from Salaries'.
- Each salary allowance is given to meet the expenditure of a particular nature.



Government and other employees - on retirement or resignation

- Gratuity is a monetary benefit given by the employer which is not paid as part of the regular monthly salary and are governed by the Payment of Gratuity Act, 1972.



- It is mandatory for the employee to have completed a minimum of 5 years in service to be able to receive gratuity.
- However, the time limit of 5 years shall **not apply** in the case of **death or disablement** of the employee.
- Gratuity is not available for interns or temporary employees, but is payable to contract employees who serve for at least 5 years at a stretch.

Gratuity-Exemption Limits

CALCULATING GRATUITY.

1. For Employees covered under the Payment of Gratuity Act, 1972:

Gratuity = Last drawn salary x $15/26$ x No. of years of service

- Last drawn salary comprises monthly **basic salary + dearness allowance**.
- The service period is **rounded off** to the nearest full year.
- For example: If an employee has put in 10 years and 7 months of service, his service period will be taken as 11 years but, if his service tenure is 10 years and 5 months, then the service tenure will be taken as 10 years only.

2. For Employees not covered under the Payment of Gratuity Act, 1972:

Gratuity = Last drawn salary x $15/30$ x No. of years of service

- Last drawn salary will comprise the average of the last ten months' salary (basic + dearness allowance + commission as a percentage of turnover).
- While calculating completed years, any fraction of the year is ignored.
- For example: If an employee has a total service of 25 years, 9 months and 20 days, only 25 years will be factored into the calculation.

TAXATION OF GRATUITY [SEC.10(10)]

- For the purpose of exemption of gratuity all employees are divided into three categories, as below, and exemption is granted according to the category:
1. Any **death-cum-retirement** gratuity received by **the Central and State Govt. employees**, defense employees and employees in local authority is fully exempt from tax.
 2. Any gratuity received by persons covered under the Payment of Gratuity Act, 1972, is exempt from tax on the following basis:

1	Actual gratuity received	_____
2	Last month salary $\times$ 15/26 $\times$ total service period	_____
3	Maximum, as specified	20,00,000

- The least of the above three is exempt from tax.

Gratuity-Exemption Limits

3. In case of any other employee, gratuity received shall be exempt from tax on the following basis:

1	Actual gratuity received	-----
2	Average salary $\times$ 15/30 $\times$ total service period	-----
3	Maximum, as specified	20,00,000

➤ The least of the above three is exempt from tax.

- Salary includes basic salary, dearness allowance, and commission (if payable as a fixed percentage of turnover achieved).
- For calculating length of service any fraction of the year shall be ignored.
- Gratuity payment to a widow or other legal heirs of an employee who dies during their service shall be exempt from income tax subject to provisions mentioned above.

- Pension is taxable under the Head Salary Income and are of two types –
1. **COMMUTED** - Lump sum portion of your retirement corpus.
 2. **UNCOMMUTED** – Periodic payments received from your retirement corpus.

COMMUTED PENSION

1. Central Government / Local Authorities / Statutory Corporation / Members Of The Defense Services:

-The entire commuted portion is tax free.

2. Non-government Employees:

- a) **Who receives gratuity:** Only $\frac{1}{3}$ of the total pension is tax - free.
- b) **Who does not receive gratuity:** Only $\frac{1}{2}$ of the total pension is tax free.

UNCOMMUTED PENSION

-Whether you are government employee or non government employee, the uncommuted pension is fully taxable.

Leave Encashment on Retirement or Resignation

- Most employers allow the employees an option of carrying forward **unutilized paid leaves**.
- The employee is invariably left with an accumulated unutilized leave balance at the time of retirement or resignation.
- The employer offsets the unutilized paid leave of the employees, also known as leave encashment.

Leaves standing to the credit of an employee at the time of retirement or leaving the job is calculated as:	
STEP (a)	Find out the duration of service in number of years (ignore any fraction of year).
STEP (b)	Find out how many days leave is credited for each year of service (earned leave entitlements cannot exceed 30 days for every year of actual service rendered for the employer from where he has retired).
STEP (c)	Find out earned leave actually taken or encash (in number of days) during the service time.
Number of Leave Balance = [[Step (a) X Step (b)] minus Step (c)]	

Leave Encashment on Retirement or Resignation

1. Central Government / Local Authorities / Statutory Corporation / Members Of The Defense Services:

The entire commuted portion is tax free.

2. Non-government Employees:

Lowest of the below is exempt from tax:
Actual amount received.
Maximum amount Rs. 3,00,000.
$10 * \text{Average Salary of last 10 months.}$
$\text{Period of leave in credit (months)} * \text{Average salary of last 10 months.}$

Note:

1. Salary for this purpose = Basic + DA + Commissions as % age of turnover.
2. The no. of years while calculating period of leaves in credit will only be considered for the no. of years of service completed.

Balance in Recognized Provident Fund (Cont.)

- Hence, the credit balance in a provident fund account of an employee consists of the following:



- The accumulated balance is paid to the employee at the time of his retirement or resignation, and is considered part of Salary income. In case of an employee's death, the same is paid to his **legal heirs**.
- "Salary" here means basic salary. It includes dearness allowance, commission determined at a fixed percentage of turnover achieved by the employee.

Employer Contribution under notified pension scheme, National Pension System (NPS) and recognized Provident Funds

- Employee's Provident Fund (EPF) is a recognized provident fund maintained by the Employees Provident Fund Organization (EPFO), and **any company with over 20 employees** is required by law to register with the EPFO.
- **Employee's Contribution:** Entire 12% goes into the EPF account.
- **Employer's Contribution:**
 - 3.67% goes into the EPF account.
 - 8.33% is diverted to the Employee's Pension Scheme (EPS).
- **Supreme Court Judgement:**
 - Employees have the option to divert 8.33% of the actual salary to the EPS, retroactively, up to a specified date.
 - This option **increases the corpus for pension** but reduces the EPF corpus.
- The **ceiling limit** of salary for this purpose is **Rs. 15,000** per month.

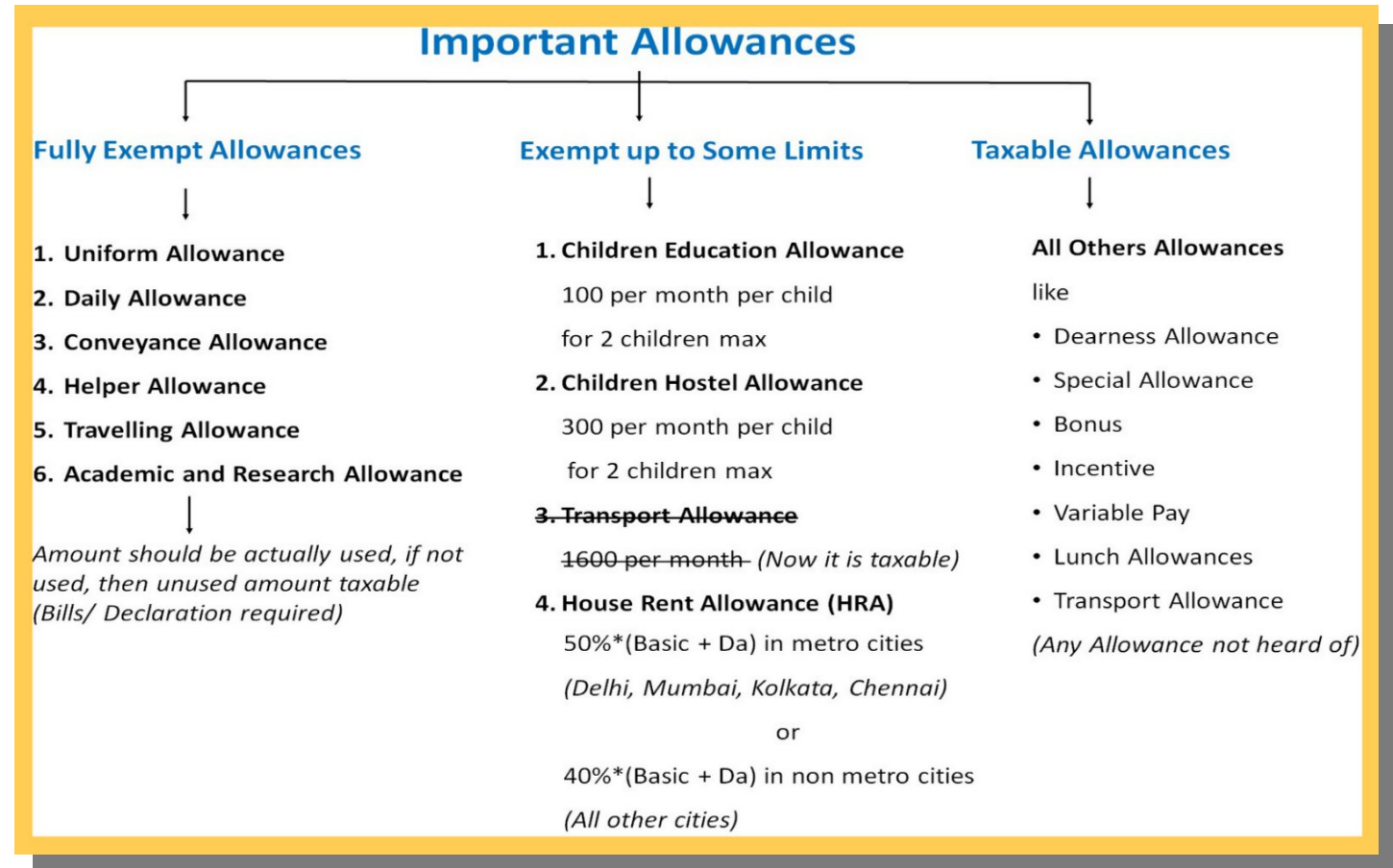
INTRODUCTION

Allowances are additional amounts given to employees to meet specific job-related requirements.

Taxability is determined on a "due" or "receipt" basis, whichever is earlier.

Types of Allowances:

- Fully Taxable
- Partially Exempt
- Fully Exempt



House Rent Allowance (HRA)

- Salaried individuals, who live in a rented house/apartment, can claim or HRA from their employer.

LEAST FROM THE BELOW IS EXEMPT
Actual HRA received
Excess of rent paid over 10% of salary
*40% or 50% of salary (depending on place of stay of the employee)

- Employees who do not receive HRA as a part of their salary, as well as self-employed individuals, can claim a deduction for rent paid **under Section 80GG** of the Income Tax Act, 1961.

LEAST FROM THE BELOW IS EXEMPT
Rs 60,000 per financial year (or Rs 5,000 per month)
Total rent paid minus 10% of basic salary
25% of the adjusted gross total income

House Rent Allowance (HRA)

NOTES:

- 50% of salary where residential house is situated at Mumbai, Kolkata, Delhi or Chennai.
- 40% of salary where residential house is situated at any other place.
- "Salary" for HRA calculation includes basic salary, dearness allowance, and commission based on a fixed percentage of turnover achieved by the employee.
- It does not include any other allowances and perquisites.
- The calculation is based on amounts due for the period during which the rental accommodation is occupied.

CLAIM RULES FOR HRA:

- An employee can also avail tax benefits of HRA along with a home loan.
- In case an employee stays with his parents, he is eligible to pay rent to his parents and collect a receipt for HRA claim but similar rules don't allow him to pay rent to his spouse and claim a tax exemption.
- If the annual rent of accommodation **exceeds Rs.1,00,000**, then presenting the landlord's **PAN card is mandatory**.
- Also, in case the landlord does not have a PAN card, he/she can **provide a self-declaration**.

Entertainment Allowance

- Entertainment allowance is the fund given to an employee by the company for the purpose of hospitality of the customers.
- Entertainment allowance is entitled to deduction u/s 16(ii).
- The entire entertainment allowance is **first added** in the computation of gross salary and deduction is granted thereafter.

GOVERNMENT EMPLOYEES (CENTRAL OR STATE)

LEAST FROM THE BELOW IS EXEMPT
Actual Allowance Received
20% of the basic salary exclusive of any allowance, benefit or other perquisite
Rs. 5,000

- Salary excludes any allowance, benefit or perquisite.
- Amount actually spent, out of the entertainment allowance received, is not taken into consideration.

PRIVATE SECTOR EMPLOYEES

- Entertainment allowance is **not deductible** for private sector employees.

Special Allowance

- Remaining salary component after basic, LTA, HRA, etc.
 - Exempt under section 10(14)(i) up to the actual amount received or spent for official duties, **whichever is lower.**
1. **Travelling Allowance:** Covers travel costs during transfer including packing and transportation of personal effects.
 - *Tax implications: Exempt for the specific purpose of travel related to job transfer.*
 2. **Daily Allowance:** Granted during tours or transfers to cover daily expenses due to absence from regular place of work.
 - *Tax implications: Generally exempt if used for intended purposes.*
 3. **Conveyance Allowance:** Covers expenditure on conveyance for official duties if employer doesn't provide free conveyance.
 - *Tax implications: Exempt for official travel; commuting from home to office is not included..*

4. **Uniform Allowance:** Given for purchase and upkeep of work uniform.
 - *Tax implications: Exempt to the extent of actual expenditure on uniform; excess amount is taxable.*
5. **Academic/Research Allowance:** Aimed at promoting academic research and training.
 - *Tax implications: Exempt to the extent spent on research and training.*

Tax Allowances for Special Areas

HILL AREA ALLOWANCE

- Given to employees in hilly or high-altitude regions.
- **Exemption Amount:** Varies from Rs. 300 to Rs. 7,000 per month.
- **Example:** Employees in Siachen, Jammu and Kashmir, can get up to Rs. 7,000 per month tax-free.

TRIBAL AREA ALLOWANCE

- For employees in specified tribal areas across states like Madhya Pradesh, Tamil Nadu, etc.
- **Exemption Limit:** Up to Rs. 200 per month is tax-exempt.
- Amounts exceeding this limit are fully taxable.

CHILDREN EDUCATION ALLOWANCE

- **Eligibility:** Employees receiving the allowance from their employer.
- **Tax Exemption: Amount:** Rs.100 per month per child or Rs.1,200 per annum per child.
- **Limit:** Applicable for up to 2 children (including adopted children).

HOTEL EXPENDITURE ALLOWANCE

- **Eligibility:** Employees receiving the allowance for children's hostel expenses.
- **Tax Exemption: Amount:** Rs.300 per month per child or Rs.3,600 per annum per child.
- **Limit:** Applicable for up to 2 children.

Deduction from Salary

Deduction from Salary :

1. Standard deduction : Rs 50,000
2. Entertainment Allowance received by the Government employees
3. Employment Tax/Professional Tax: Amount actually paid during the year is deductible.

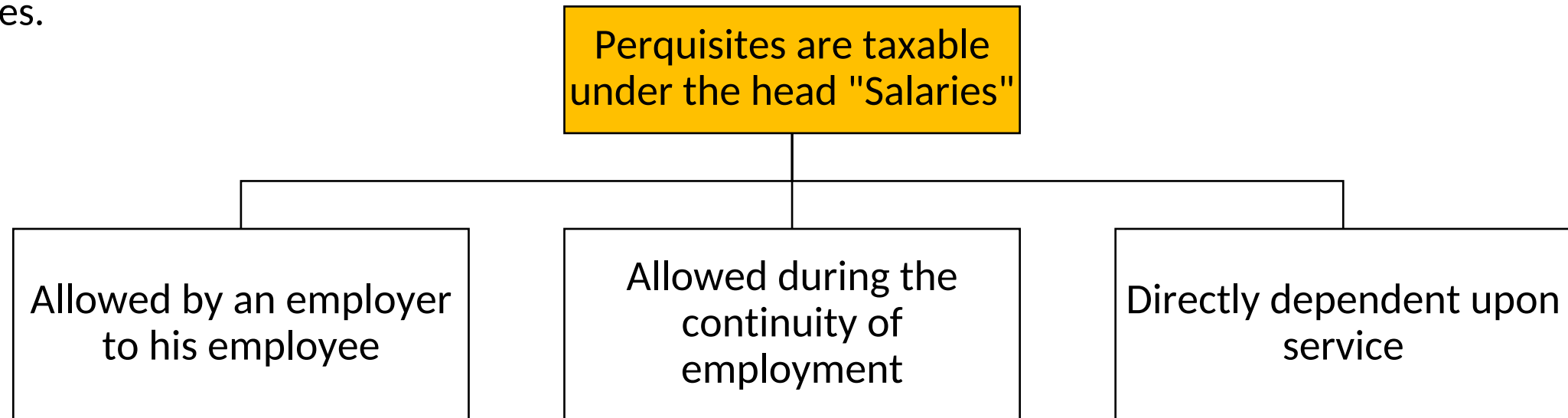
New Tax Regime (Section 115BAC)

Taxpayers can choose between the old tax regime and the new tax regime.

- Under the **old tax regime**, taxpayers can avail of various deductions from gross income.
- Under the **new tax regime**, most deductions (except the standard deduction) are not available.

What are Perquisite?

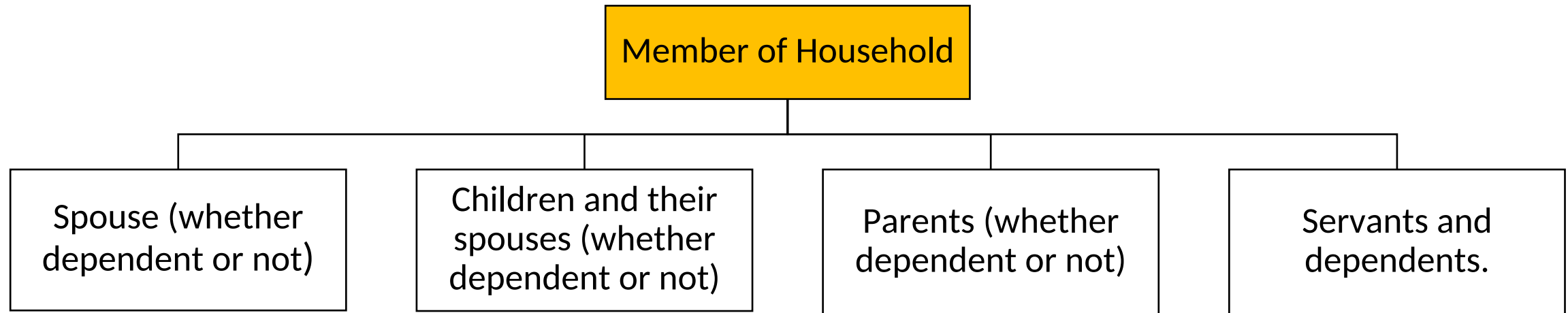
- Perquisite is any casual emolument or benefit attached to an office or position in addition to salary or wages.



- Perquisites, received from a person other than employer, are taxable under the head "**Profits and Gains of Business or Profession**" or "**Income from other Sources**".

What are Perquisite?

- Perquisites provided by an employer (directly or indirectly) to an employee or any member of his household (by reason of his employment) shall be chargeable to tax in the hands of the employee.



Specified and Non-Specified Employee

SPECIFIED EMPLOYEE -

1. **A director employee** - who is a director in the employer company at any time during the previous year, is a specified employee of the company in which he is a director.
2. **An employee who has substantial interest in the employer company** - An employee who is a beneficial owner of equity shares carrying **20% or more voting power** has substantial interest in the employer-company.
3. **An employee drawing in excess of Rs. 50,000** - An employee (not covered by the above two categories), whose income chargeable under the head "Salaries" exceeds Rs. 50,000, is a specified employee.

For computing the sum of Rs. 50,000, the following are excluded:

1. All non-monetary benefits.
2. Monetary benefits which are not taxable under section 10.
3. Deduction on account of entertainment allowance and deduction on account of professional tax.

NON-SPECIFIED EMPLOYEE -

Any employee, other than a specified employee, is a "non-specified employee".

Unfurnished Accommodation With No Rent

GOVERNMENT EMPLOYEE

- The license fee in the agreement is the value of the Rent Free Accommodation.

NON- GOVERNMENT EMPLOYEE

OWNED BY EMPLOYER

The value of RFA is calculated as below-

- **Population Up to 10 Lakhs:** 5% of the salary.
- **Population Between 10 Lakhs - 15 Lakhs:** 5% of the salary.
- **Population Between 15 Lakhs - 25 Lakhs:** 7.5% of the salary.
- **Population Between 25 Lakhs - 40 Lakhs:** 7.5% of the salary.
- **Population Above 40 Lakhs:** 10% of the salary.

NOT OWNED BY EMPLOYER

The value of RFA will be the lower of-

15% of Salary

OR

Rent paid by the employer.

Salary = Basic + DA + Commission + Bonus + All Taxable Allowances

Furnished Accommodation With No Rent

FURNITURE OWNED BY EMPLOYER

10% per annum of the cost of furniture (including television sets, refrigerators, other household appliances, air- conditioning plant or equipment or other similar appliances or gadgets.

FURNITURE NOT OWNED BY EMPLOYER

The actual hire charges payable for the same **as reduced by** any charges paid or payable for the same by the employee during the previous year.

Where the accommodation is provided by any employer, whether Government or any other employer, in a hotel

The valuation of perquisites for a government employee or non government employee are as follows:

LOWER OF:

24% of Salary for the previous year

Actual rent paid by the employer

In case if the employee is bearing some part of the rent from his own pocket, then in that case, the value of RFA as calculated above will be reduced by the rent paid by the employee.

Other Perquisites

Services of House Help and Attendants

- **Value:** Actual cost to the employer.
- **Residence-Based Services:** Full cost taxed as a perquisite, regardless of service degree

Supply of Amenities (Electricity, Water, Gas)

- **External Agency:** Value is the amount paid by the employer to the agency.
- **Employer's Own Resources:** Value is the manufacturing cost per unit incurred by the employer.

Deduct any amount paid by the employee from the perquisite value.

Use Of Motor Car

1. PERSONAL USE

VALUE OF PERQUISITE: IF OWNED BY EMPLOYER	
<u>Expenses Are Borne By The Employer</u>	<u>Expenses Are Borne By The Employee</u>
✓ Running and Maintenance	✓ Wear and Tear (10% of vehicle cost p.a.)
✓ Wear and Tear (10% of vehicle cost p.a.)	✓ Driver's salary
✓ Driver's salary	

VALUE OF PERQUISITE: IF OWNED BY EMPLOYEE & EXPENSES ARE BORNE BY EMPLOYER
The value of perquisite will be actual expenses borne by the employer.

2. OFFICIAL USE

Irrespective of who owns the cars, if the car provided by the employer is used solely for official purposes, no tax liability exists

Use Of Motor Car

3. BOTH OFFICIAL & PERSONAL USE

VALUE OF PERQUISITE: IF OWNED BY EMPLOYER	
<u>Expenses Are Borne By The Employer</u>	<u>Expenses Are Borne By The Employee</u>
✓ Upto 1.60 Ltrs CC: Rs. 1,800 p.m. ✓ More than 1.60 Ltrs CC: Rs. 2,400 p.m. ✓ Driver's salary: Rs. 900 p.m.	✓ Upto 1.60 Ltrs CC: Rs. 600 p.m. ✓ More than 1.60 Ltrs CC: Rs. 900 p.m. ✓ Driver's salary: Rs. 900 p.m.

VALUE OF PERQUISITE: IF OWNED BY EMPLOYEE & EXPENSES ARE BORNE BY EMPLOYER
✓ Upto 1.60 Ltrs CC: Rs. 1,800 p.m. ✓ More than 1.60 Ltrs CC: Rs. 2,400 p.m. ✓ Driver's salary: Rs. 900 p.m.

Use And Transfer Of Movable Assets

USE OF MOVABLE ASSETS

- ✓ Laptop/ Computer = NIL
- ✓ Motor Car = (Covered briefly in previous slides)
- ✓ Other Assets = 10% of the original cost

TRANSFER OF MOVEABLE ASSETS

- ✓ Laptop/ Computer = 50% of Written Down Value
- ✓ Motor Car = 20% of Written Down Value
- ✓ Other Assets = 10% on Straight Line Method

CLUB FACILITY

- Any annual or periodical fee for Club facility and any expenditure in a club by the employee (or any member of his household), which is paid or reimbursed by the employer is taxable on the following basis:

Amount of expenditure incurred by the employer	XXX
Less: Expenditure for official purposes	XXX
Less: Amount recovered from the employee	<u>XXX</u>
Amount taxable as perquisite	<u>XXX</u>

However, if the amount is incurred wholly and exclusively for official purposes it will be exempt if both of the following conditions are fulfilled:

- 1

• Complete details of such expense, including date and nature of expenditure and its business expediency is maintained by the employer.
- 2

• Employer gives a certificate that the same was incurred wholly and exclusively for official purpose

Exemptions:

• Expenditure pertaining to health club, sports facilities, etc. Provided uniformly to all classes of employees by the employer at employer's premises

• Initial one-time deposits or fees for corporate or institutional membership, where benefit does not remain with a particular employee after cessation of employment.

1

2

Employer's contribution towards superannuation fund

- **Employer Contributions:** Contributions exceeding ₹7.50 lakh to Provident Fund, NPS, or superannuation fund are taxable.
- **Interest on Excess Contributions:** As per Rule 3B notified in March 2021, the annual accretion (interest, dividends, etc. on these excess contributions are also taxable.

Both the excess contributions and their annual accretions are added to the employee's taxable income under "Income from Salary".

Value Of Specified Security, Sweat Equity, Employee Stock Option Plan (ESOP) Allotted/Transferred To Employee

Sweat equity shares are issued by a company to employees /directors at a discount or for consideration other than cash, such as intellectual property contributions.

Taxation Point: Value of the perquisite is taxable to the employee in the previous year in which the sweat equity shares are allotted or transferred after March 31, 2009, based on the fair market value on the date of exercise of the option.

Valuation of Fair Market Value:

Listed Company:

- Fair market value is the average of the opening and closing prices on the date of exercising the option, on the recognized stock exchange where the share is most traded.
- If no trading on the exercise date, use the closing price on the nearest preceding date.
- If multiple exchanges trade the stock, use the exchange with the highest trading volume.

Unlisted Company:

- Fair market value determined by a merchant banker on the date of exercise of the option.

Taxation of ESOPs for Employees of Eligible Startups (Effective FY 2020-21)

Deferral of TDS on Perquisite:

No Immediate Tax: Employees receiving ESOPs from eligible startups do not pay tax in the year of exercising the option.

Deferred TDS Payment: TDS on the perquisite value is deferred to the earliest of the following dates:

1. Date of Sale
2. Date of Employment Termination
3. Five-Year Period

Capital Gains:

- Tax on ESOP-induced securities applies at the time of transfer.
- The exercise price is used as the acquisition cost, with the holding period determining whether the gains are short-term or long-term.

Tax Of An Employee Paid By Employer

- Employers can agree to pay the tax on the employee's salary as a perquisite, which is non-monetary.
- According to Section 10(10CC), such tax paid by the employer is exempt from being taxed as income in the hands of the employee.

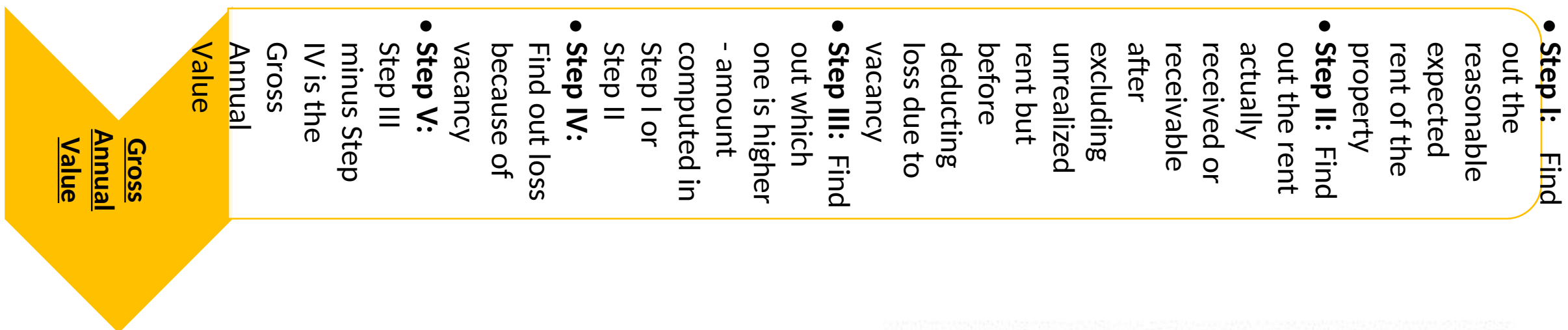
Introduction

- House property consists of any building or land appurtenant thereto of which the assessee is the owner.
- Includes residential houses, flats, shops, office spaces, factory sheds, agricultural land, and farmhouses.
- It also includes all types of house properties i.e. residential houses, godowns, cinema building, workshop building, hotel building etc.

Income from House Property is calculated as follows:

Particulars	Amount
Gross Annual Value	–
Less: Municipal Taxes	–
Net Annual Value	****
Less: Standard deduction at 30% [Section 24(a)]	–
Less: Interest on borrowed capital [Section 24(b)]	–
Income from house property	****

Gross Annual Value (In case of Vacancy)

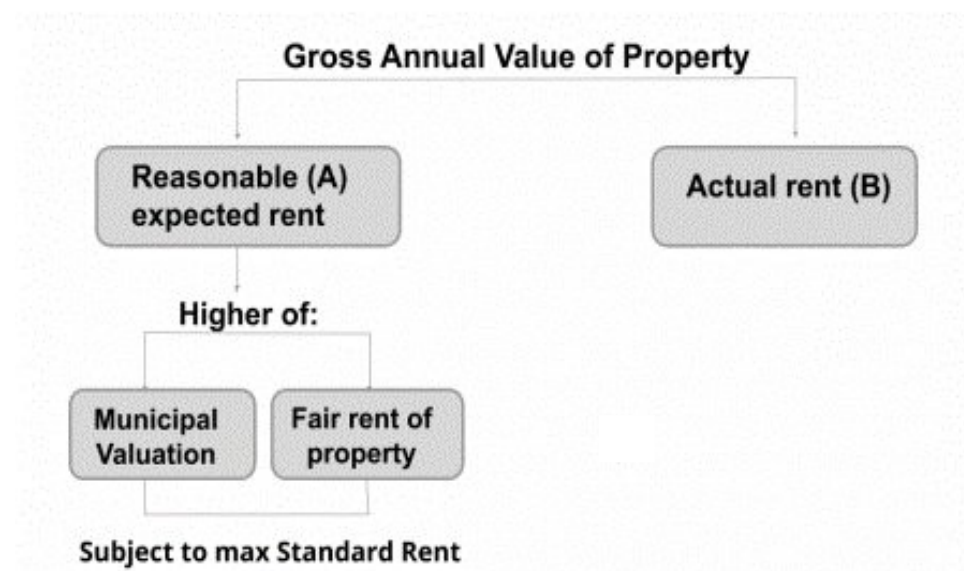


Rent actually received/receivable is determined as follows:

Rent of the previous year (or that part of the previous year) for which the property is available for letting out.

(Less) Unrealized rent if a few conditions are satisfied

Rent received/receivable before deducting loss due to vacancy



Gross Annual Value (In case of Vacancy)

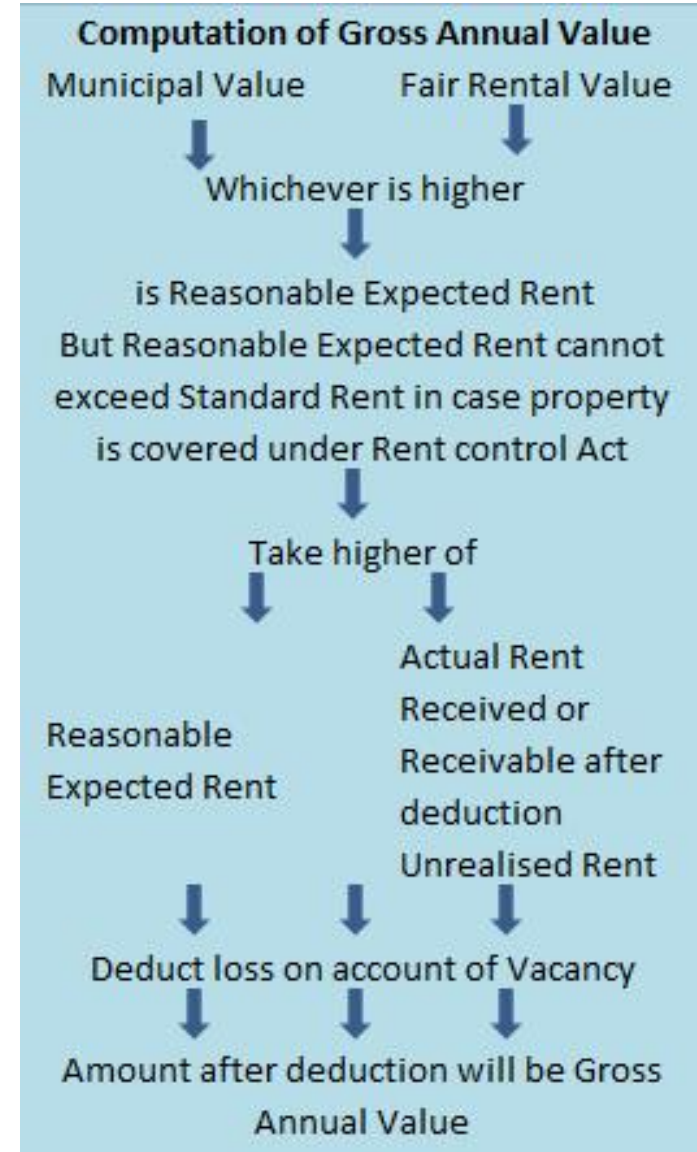
Loss Due To Vacancy:

If the let-out property was vacant during the whole or any part of the previous year, and owing to such vacancy, the actual rent received or receivable is less than the fair rent, then the actual rent received or receivable shall be considered as the annual value. For this purpose, the actual rent received or receivable shall not include the amount of rent which the assessee could not realize.

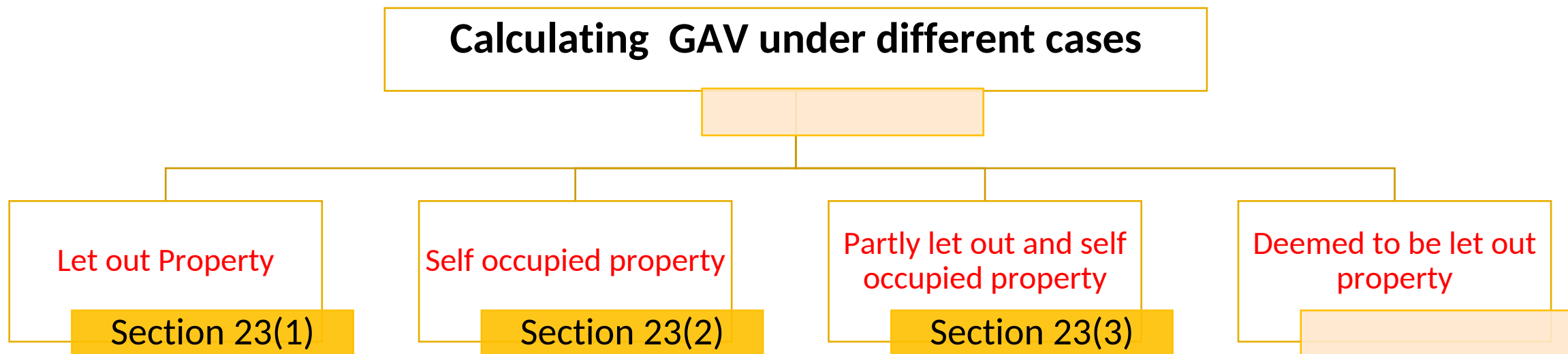
When unrealized rent shall be excluded? –

It shall be excluded from the rent if the following conditions are satisfied:

- The tenancy is bona fide;
- The defaulting tenant has vacated, or steps have been taken to compel him to vacate the property;
- The defaulting tenant is not in occupation of any other property of the assessee; and
- The assessee has taken all reasonable steps to institute legal proceedings for the recovery of the unpaid rent.



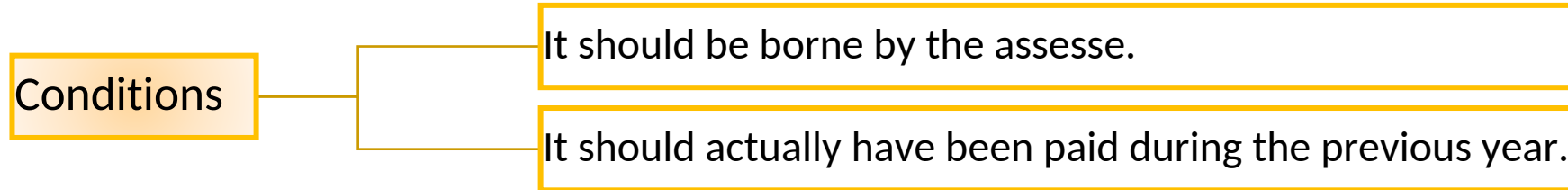
Computation of Gross Annual Value (GAV) under different cases



Net Annual Value (NAV)

- NAV is derived by deducting municipal taxes from the Gross Annual Value (GAV).

Conditions for Deduction:



Key Points:

- Non-Payment:** If taxes are not paid in the previous year, no deduction is allowed.
- Arrears Payment:** If paid in a later year, the entire amount is deductible in that year.
- Foreign Properties:** Municipal taxes levied by a foreign authority are deductible if paid by the owner.

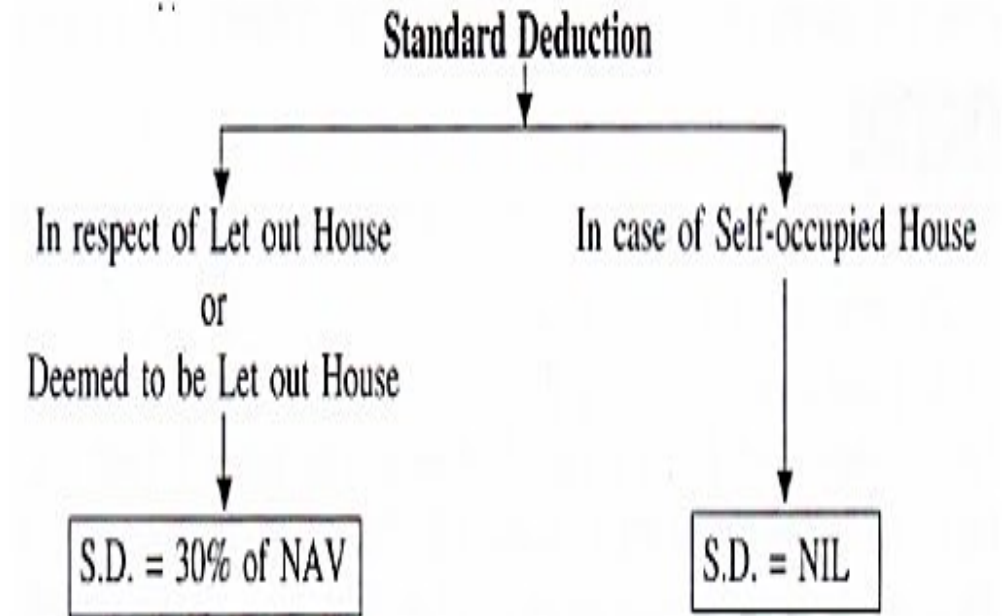
Standard Deduction u/s 24(a) and Interest on Borrowed Capital u/s 24(b)

Standard Deduction [u/s 24(a)]

Overview: The standard deduction is 30% of the Net Annual Value (NAV).

Key Points:

1. **Automatic Deduction:** Applied regardless of actual expenses incurred.
2. **No Expenditure Needed:** Available even if no actual expenditure is incurred.
3. **Repairs by Tenants:** Deduction is allowed even if repairs are done by tenants.
4. **Self-Occupied Property:** Since the Annual Value is Nil, the standard deduction is also Nil.



Standard Deduction u/s 24(a) and Interest on Borrowed Capital u/s 24(b)

1. Interest on loans for property acquisition, construction, renovation, repair, or reconstruction is deductible.
2. Interest on loans for buying land is deductible, even if construction is self-financed later.
3. In case of self occupied property up to Rs 2 lakh per year deductible for interest on loans **if taken after 01-04-1999, completed within 5 years**; otherwise Rs 30,000 per year.
4. For Reconstruction/Repairs, Rs 30,000 per year deductible for self-occupied properties; total interest deduction capped at Rs 2 lakh annually.
5. Pre-Construction interest is deductible in **five equal annual installments** from the year of property acquisition/construction.
6. Deductible on accrual basis, regardless of actual payment timing. Interest on unpaid interest not deductible.
7. Brokerage or commission on loans not deductible.
8. Deductible interest on new loans used to repay original loans, even if interest-free.
9. Fully deductible interest without ceiling; loss capped at Rs 2 lakh annually, carry forward for 8 years.

Interest on borrowed capital during the “pre-construction” period:

Interest on Borrowed Capital during Pre-Construction Period:

- Interest paid on borrowed money for purchasing or constructing a house property, before the property is acquired or constructed, is deductible **in five equal annual installments**.
- Deductions start from the year in which the construction is completed or the property is acquired.

**“Pre-
construction
period” ends on:**

March 31 immediately prior to the date of completion of construction/date of acquisition, or

Date of repayment of loan, whichever is earlier.

Standard Deduction u/s 24(a) and Interest on Borrowed Capital u/s 24(b)

In the following cases rental income is not charged to tax:

Income from farm house

Annual value of any one palace of an ex-ruler

Property income of a local authority

Property income of an approved scientific research association

Property income of an educational institution and hospital

Property income of a trade union

House property held for charitable purposes

Property income of a political party

Property used for own business or profession

One self-occupied property

Deduction for interest on housing loan [Section 80EE]

Deduction for interest on housing loan [Section 80EE]

**Deduction of up to Rs 50,000 subject to
following conditions:**

- 1- Loan has been sanctioned by Financial institution during the financial year 2016-17;
- 2- The amount of loan sanctioned does not exceed Rs 35,00,000;
- 3- The value of residential property does not exceed Rs 50,00,000;
- 4- The assessee does not own any residential house property on the date of sanction of loan;

Where deduction has been allowed under this section, no deduction shall be allowed in respect of such interest under any other provision.

Deduction for interest paid on housing loan [Section 80EEA]

The Finance (No. 2) Act, 2019 has inserted a new Section 80EEA under the Income Tax Act for those individuals who are not eligible to claim deduction under Section 80EE.

[Section 80EEA]

Deduction of up to Rs. 1,50,000 subject to following conditions:

Hence, an individual who does not meet the criteria of section 80EE shall now be eligible to claim deduction under section 80EEA of up to Rs. 1,50,000 in **addition to deduction** under section 24(b). This deduction is available from Assessment Year 2020-21.

- 1- Loan should be sanctioned by the financial institution during the period beginning on 01-04-2019 and ending on the 31-03-2021;
- 2- Stamp duty value of residential house property should not exceed Rs. 45 lakhs;
- 3- The assessee should not own any residential house property on the date of sanction of loan; and
- 4- The assessee should not be eligible to claim deduction under Section 80EE.

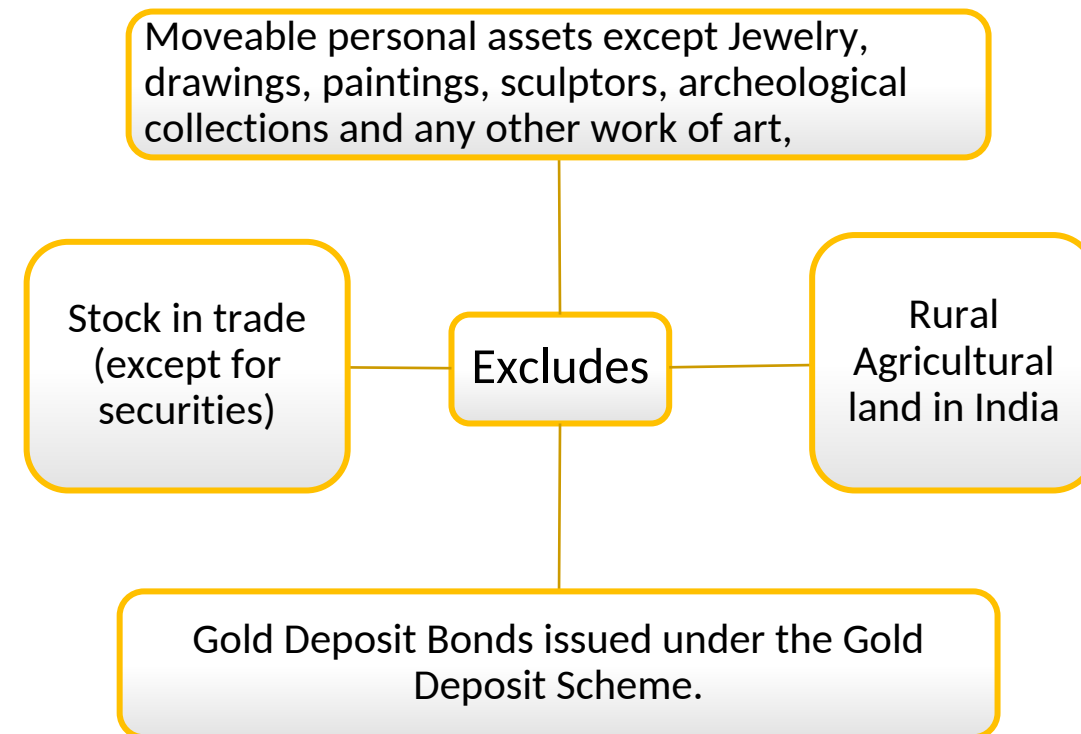
Definition of Capital Gains

DEFINITION

Property of any kind, whether fixed or circulating, movable or immovable, tangible or intangible.

Includes:

1. Any property held by an assessee, whether or not connected with business or profession.
2. Securities held by a Foreign Institutional Investor (FII) as per SEBI regulations.



Note: Rural area is any area which falls outside of the jurisdiction of the below mentioned municipality

10,000 < Population < 1,00,000	Up to 2 Kms from the municipality/ cantonment
1,00,000 < Population < 10,00,000	Up to 6 Kms “
10,00,000 >	Up to 8 Kms”

When is Transfer considered complete & effective ?

Mostly, capital gain
is taxable in the
year in which it is
transferred.
Different rules are
applicable

**Immovable
property**

**Immovable property when documents
are registered** – Transfer is complete

**Immovable property when
documents are**

1. There should be a contract in writing;
2. The transferee has paid consideration or is willing to perform his part of the contract;
3. The transferee should have taken possession of the property.

Title to a movable property passes a property when property is delivered pursuant to a contract to sell. Entries in the books of account are not relevant for determining date of transfer.

Movable property

Holding Period For Various Assets

➤ The following table will help us understand the holding periods of various assets.

12 months		24 months		36 months	
1	Listed Equity/ PF shares sold on recognised Stock exchange	1	Unlisted shares if sold after 01st April'16	1	Debt MFs
2	Equity MFs	2	Immovable property including land and building.	2	Gold- Jewellery
3	Units of UTI			3	Gold- ETFs
4	Securities listed on Recogn. SE				Unlisted Bonds & Debentures
5	Zero coupon Bonds				
6	Physical Transfer of shares				
7	Transfer on unrecogn. SE				
8	Buy Back of shares				

Capital assets transferred under a Gift, a Will, by succession/inheritance, etc.. Continued.....

ACQUISITION OF PROPERTY

By succession, inheritance or devolution, or

Distributions of assets on the dissolution of a firm, BOI or AOP where dissolution had taken place before April 1, 1987,

On any distribution of assets on the liquidation of a company, or

Under a transfer to a revocable or an irrevocable trust, or

By a wholly-owned Indian subsidiary company from its holding company, or

By an Indian holding company from its wholly-owned subsidiary company, or

Under a scheme of amalgamation, or

Under a scheme of demerger; or

Under a scheme of conversion of private company/unlisted company into LLP; or

On any transfer in the case of conversion of firm/sole-proprietary concern into company;

Capital gain on transfer of land and building

Conditions for Computation of Capital Gains in Transfer of Land and Building (Section 50C)

1	or both. The asset cannot be held by a person who is a partner in a firm or shares in a company or has any right to acquire any interest in the property.
2	The value adopted by the stamp duty authority for the purpose of computing capital gains shall be the full value of consideration.

If the above conditions are satisfied, the value adopted by the stamp duty authority is taken as the "full value of consideration" for computing capital gains.

Self-generated capital assets

An asset which does not cost anything to the assessee in terms of money, in its creation or acquisition, is a self-generated asset.

Type of Self-Generated Asset	Tax Treatment
Self-Generated Goodwill, Business Rights, etc.	• Cost of acquisition and improvement: Nil • Transfer expenses: Deductible based on actual expenditure
Tenancy Rights, Trademarks, Brand Names, etc.	• Cost of acquisition: Nil • Cost of improvement and transfer expenses: Deductible based on actual expenditure
Other Self-Generated Assets	• No capital gain tax on transfer

Fair Market Value Option (April 1, 2001):

- Not applicable to self-generated assets, regardless of acquisition date.

Capital gain (long-term) on transfer/redemption of equity shares of domestic companies and units of equity-oriented MF schemes

Asset Type	Period of Holding	Tax Treatment
Equity Shares of Domestic Companies	More than 12 months (Long-term)	• Taxable at 12.5% on gains exceeding Rs 1,25,000 per financial year, if STT paid at acquisition and transfer of capital asset. • Grandfathering of gains till January 31, 2018.
	12 months or less (Short-term)	• Taxable at 20%
Units of Equity-Oriented Mutual Fund Schemes	More than 12 months (Long-term)	• Taxable at 12.5% on gains exceeding Rs 1,25,000 per financial year, if STT paid on transfer.
	12 months or less (Short-term)	• Taxable at 20%

Concept of Grandfathering

A method of determining the Cost of Acquisition (COA) of such investments have been specifically laid down where the COA of such investments shall be deemed to be the higher of:

1.	The actual COA of such investments; and
2.	The lower of -
	• Fair Market Value of such investments; and • Full Value of Consideration received or accruing as a result of the transfer of the capital asset i.e. the Sale Price

- Equity Shares:** FMV considered as highest price on recognized stock exchange on January 31, 2018.
- Unlisted Equity Shares:** COA adjusted by Cost Inflation Index for 2017-18 if not listed on January 31, 2018.
- Mutual Fund Units:** FMV deemed as Net Asset Value on January 31, 2018.

Capital gain on buyback of shares

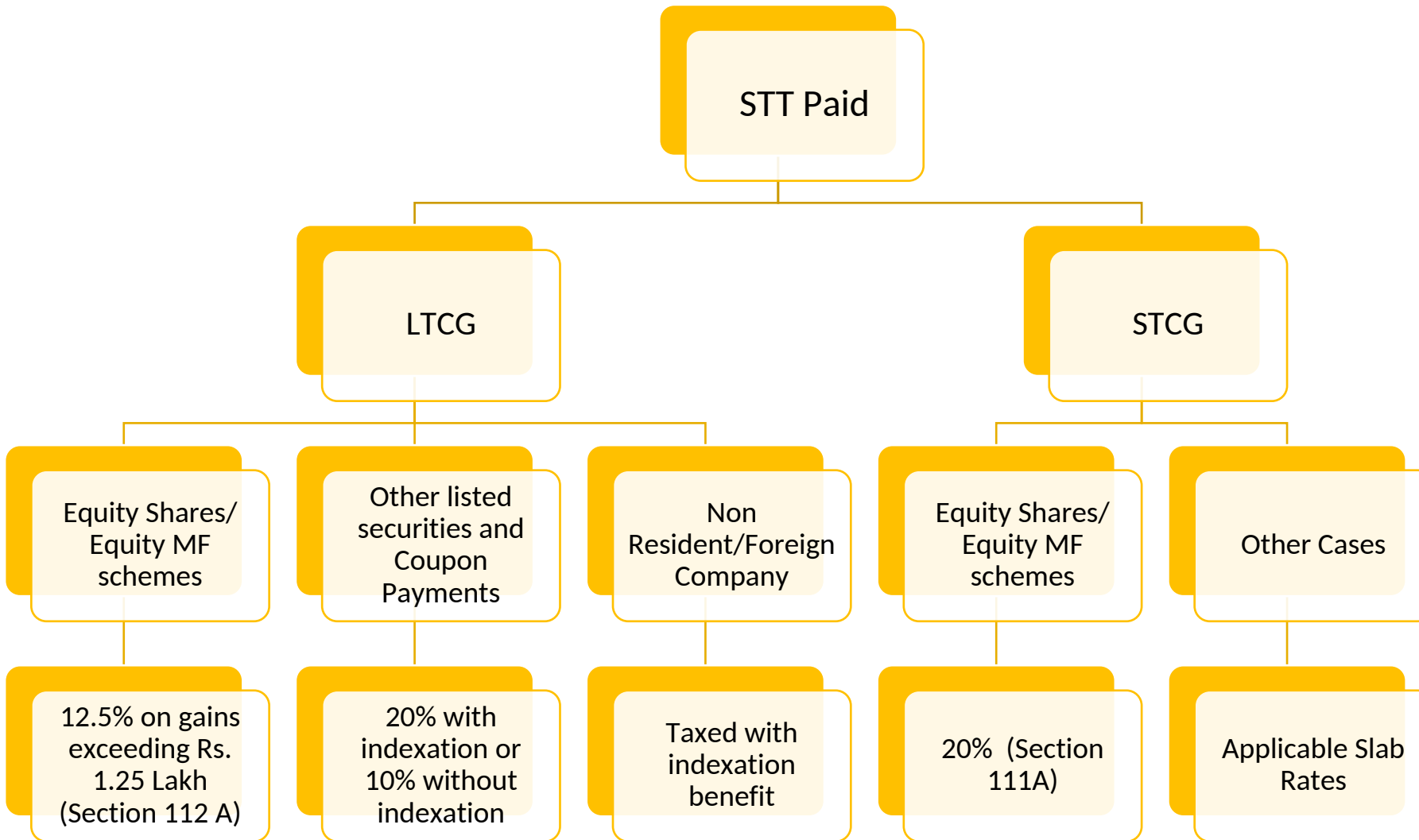
Under Section 115QA introduced by the Finance Act (No. 2) of 2019, effective from July 5, 2019, the following provisions apply to buybacks of shares by companies:

1. The tax burden has shifted from company to the shareholder.
2. Payment made by company for the buyback of its own shares will be treated as dividend income, as specified in the newly added clause (f) of section 2(22).
3. Section 115QA stating that its provisions will not apply to buybacks occurring on or after October 1, 2024.
4. Shareholder will now be taxed on the buyback amount as income from other sources (IFOS).
5. Companies will be responsible for deducting tax at source (TDS) at the rate of 10% for the resident shareholders and at applicable rates for non – resident.
6. Shareholders can treat the cost of shares as a capital loss, which may be carried forward for 8 subsequent financial years.

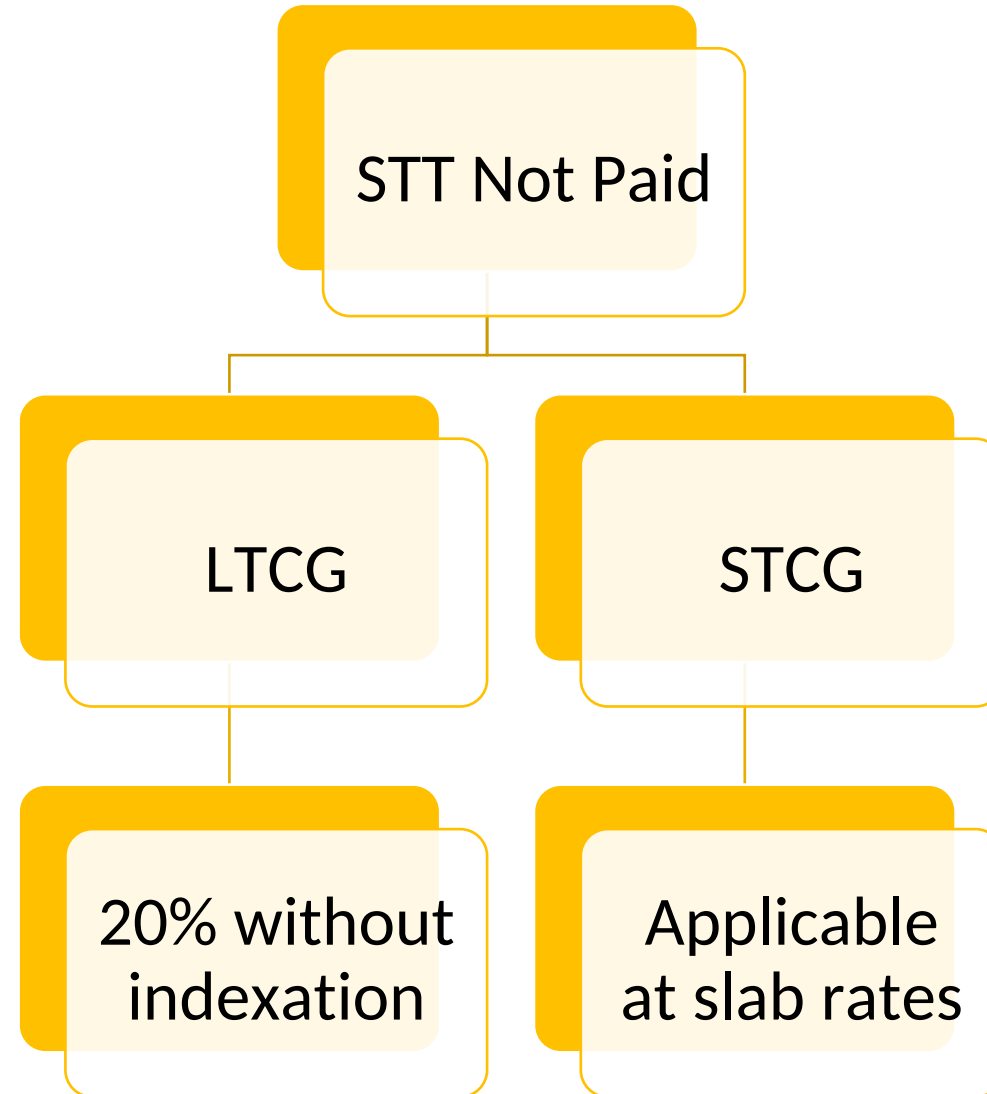
Capital gain on transfer/redemption of debt securities and units of income/liquid MF schemes

Category	Holding Period for LTCG	STCG Tax Rate	LTCG Tax Rate
Listed Bonds/Debentures	More than 12 months	Slab rate	12.5% without indexation
Unlisted Bonds/Debentures	More than 24 months	Slab rate	20% without indexation
Debt-Oriented Mutual Fund Schemes (Invest > 65% in debt instruments)	Up to 31 March 2023: More than 24 months	Slab rate	20% with indexation
Equity-Oriented Mutual Fund Schemes (Invest > 65% in equities)	More than 12 months	20%	12.5% on the gains above Rs. 1,25,000/-
Hybrid Mutual Fund Schemes (35% < Equity < 65%)	More than 24 months	Slab rate	20% with indexation
Capital Indexed Bonds (Government)	More than 12 months	Slab rate	10% without indexation or 20% with indexation
Sovereign Gold Bonds (SGB)	More than 12 months	Slab rate	10% without indexation or 20% with indexation
Market Linked Debentures (MLDs)	Irrespective of period	Slab rate	Slab rate

Tax on long-term/short-term capital gains where Securities Transaction Tax (STT) is paid



Tax on long-term/short-term capital gains where STT is not paid



Capital Gains arising from transfer of a residential property

Section 54 - Long-term capital gains arising from transfer of a residential property:

Criteria	Details
Eligible Claimants	Individual or Hindu Undivided Family (HUF)
Eligible Asset for Exemption	Residential house property (long-term capital asset)
New Asset to Acquire	One residential house purchased or constructed in India
Time Limit for Acquiring New Asset	• Purchase: Within 1 year before transfer or within 2 years after transfer • Construction: Within 3 years from transfer (or from receipt of compensation in compulsory acquisition cases)
Exemption Amount	Lower of investment in the new asset or capital gain, with a ceiling of Rs 10 crore from 1st April 2023
Revocation of Exemption	If the new asset is transferred within 3 years of acquisition, exemption is revoked. Cost of acquisition is recalculated (original cost - exemption availed u/s 54)

Acquiring Equity shares of an eligible company Sec. 54GB

Criteria	Details
Eligible Claimants	Individual or Hindu Undivided Family (HUF)
Eligible Asset for Exemption	Long-term residential house property (house or plot of land) if transfer occurs between April 1, 2012, and March 31, 2022
New Asset to Acquire	Equity shares in an “eligible company”
Time Limit for Acquiring New Asset	• Acquire shares by the due date of filing income tax return (under section 139(1)). • The company must use the investment within a year to purchase new plant and machinery or deposit funds in a capital gain deposit account.
Exemption Calculation:	• Exemption amount = (Investment in new asset / Net sale consideration) × Capital Gain. • Exemption cannot exceed the capital gain amount.
Revocation	Exemption turns into taxable long-term capital gains if: 1. Shares in the eligible company are sold within 5 years. 2. New asset (plant/machinery) purchased by the company is sold within 5 years (3 years for computers/software). 3. Funds in the deposit account are not used within 1 year from share subscription.

Transfer Of Any Long-term Capital Asset Sec. 54F

Criteria	Details
Eligible Claimants	Individual or Hindu Undivided Family (HUF).
Eligible Asset for Exemption	Capital gain from any long-term capital asset (other than residential house property).
New Asset to Acquire	One residential house property in India.
Time Limit for Acquiring New Asset	• Purchase: Within 1 year before or 2 years after transfer. • Compulsory acquisition: From the date of compensation receipt. • Construction: Within 3 years from transfer.
Exemption Calculation:	• Exemption amount = (Investment in new asset / Net sale consideration) × Capital Gain. • Exemption cannot exceed the capital gain amount. • From April 1, 2023, exemption capped at Rs 10 crore of capital gains.
Revocation	• New asset sold within 3 years of acquisition. • Purchase of another residential property within 2 years of transfer. • Completion of construction of another residential property within 3 years of transfer.

Investing The Capital Gains In Bonds Sec. 54EC

Criteria	Details
Eligible Claimants	Any taxpayer.
Eligible Asset for Exemption	Long-term capital asset being an immovable property (land or building) situated in India or abroad.
New Asset to Acquire	Bonds issued by specified entities like NHAI, REC, PFC, IRFC, or other notified bonds under Section 54EC. Maximum investment per financial year is Rs 50 lakh.
Time Limit for Acquiring New Asset	Within 6 months from the date of transfer of the original asset.
Exemption Calculation	Exemption is lower of: Investment in new asset (54EC bonds) or capital gain amount.
Revocation	• If 54EC bonds are transferred within 5 years of acquisition (3 years if investment made before April 1, 2018). • If new asset (54EC bonds) is converted into money or loan/advance taken against it within 5 years (3 years if investment made before April 1, 2018).

If the income of a minor child or spouse is clubbed in the hands of an individual, the minor child and spouse can separately invest up to Rs 50 lakh each for claiming exemption under Section 54EC. Capital gain (after claiming exemption under Sections 54 to 54GB) will be clubbed in the hands of the individual.

Acquisition Of Certain Long – Term Specified Assets Sec. 54EE

Criteria	Details
Eligible Claimants	Any taxpayer who has transferred a long-term capital asset.
Eligible Asset for Exemption	Long-term specified assets (units of notified funds issued before April 1, 2019).
New Asset to Acquire	Bonds issued by specified entities like NHAI, REC, PFC, IRFC, or other notified bonds under Section 54EC. Maximum investment per financial year is Rs 50 lakh.
Time Limit for Acquiring New Asset	Within 6 months from the date of transfer of the original asset.
Exemption Calculation	Exemption is lower of: Amount of capital gain or amount invested in long-term specified assets.
Revocation	If long-term specified assets are transferred within 3 years of acquisition, exemption will be revoked and taxed as long-term capital gain in the year of transfer.

Taxation of Equity & Equity- Oriented units

Summary Table.

Taxation of Equity and equity oriented units			
Particulars	Indian Listed Equity	Indian Unlisted Equity	International Equity
Holding Period for LTCG	12 months	24 months	24 months
Short Term Capital Gains	20% if STT has been paid on the same	As per Slab Rate	As per Slab Rate
Long Term Capital Gains	Taxable at 12.5% on gains exceeding Rs 1,25,000 per financial year, if STT paid at acquisition and transfer of capital asset.	Tax rate @12.5% without indexation	Tax rate @12.5% without indexation

Tax Applicability on Bonus and Rights Issues

1. Bonus Shares:

- **Allotted Before April 1, 2001:** Cost of acquisition is the fair market value as of that date.
- **Allotted After April 1, 2001:** Cost of acquisition is zero.
- **Capital Gains:**
 - ❖ Long-term gains taxed at 12.5%.
 - ❖ Short-term gains taxed at 20% (under section 111A).

2. Rights Issues:

- Existing shareholders can acquire more shares at a price lower than market value.
- Cost of acquisition is the price paid for the right shares.
- **Sequencing:** First-in-first-out basis applied; original shares sold first, followed by bonus/rights shares.

Tax Applicability on Stock Splits and Consolidations

1. Stock Splits:

- **Date of Acquisition:** Same as the original shares.
- **Cost of Acquisition:** Divided proportionately between the original and split shares.
- **Capital Gains:** Computed based on the proportionate cost.

2. Stock Consolidations:

- **Effect:** Reduces the number of shares and increases the share price proportionately.
- **Tax Impact:** No change in the overall value of holdings, hence no change in tax liability

Taxation of Debt & Debt - Oriented units

Product	Interest Income	STCG Tax Rate	LTCG Tax Rate	Holding Period for LTCG
Government Securities	Taxable as "IFOS"	Applicable slab rate	12.5% without indexation	More > 12 months
Corporate Bonds/Debentures	Taxable as "IFOS"	Applicable slab rate	12.5% without indexation (listed) / 12.5% (unlisted)	> 12 months (listed) / > 24 months (unlisted)
Capital Indexed Bonds	Taxable as "IFOS"	Applicable slab rate	12.5% without indexation	More > 12 months
Sovereign Gold Bonds	Taxable as "IFOS"	Applicable slab rate	12.5% flat, without indexation (if sold on or after 23 July 2024)	More > 12 months
Tax-Free Bonds	Exempt	Not applicable	12.5% without indexation	More > 12 months
Zero-Coupon Bonds	No periodic interest; taxable on sale/maturity	Applicable slab rate	12.5% without indexation	More > 12 months

Taxation of Debt & Debt - Oriented units

Product	Interest Income	STCG Tax Rate	LTCG Tax Rate	Holding Period for LTCG
Convertible Debentures	Taxable as "IFOS"	Not applicable (on conversion)	Not applicable (on conversion)	Not applicable
Debt Mutual Funds (pre 1 Apr 2023)	Taxable as "IFOS"	Applicable slab rate	Previously 20% with indexation, but under new rules: 12.5% flat, no indexation (if sold on/after Jul 23 2024)	More > 36 months
Debt Mutual Funds (post 1 Apr 2023)	Taxable as "IFOS"	Applicable slab rate	Applicable slab rate	Not applicable
Hybrid Mutual Funds	Taxable as "IFOS"	Applicable slab rate	12.5% without indexation	More > 24 months
Fixed Maturity Plans (pre 1 Apr 2023)	Taxable as "IFOS"	Applicable slab rate	12.5% without indexation	More > 36 months
Fixed Maturity Plans (post 1 Apr 2023)	Taxable as "IFOS"	Applicable slab rate	Applicable slab rate	Not applicable

Sovereign Gold Bonds

Aspect	Sovereign Gold Bonds (SGBs)	Physical Gold (Bullion/ Jewellery)	Gold Mutual Funds / Gold ETFs
Form	Electronic/digital format	Physical possession required	Held in demat form
Interest Income	Semi-annual interest of 2.5% added under Income from Other Sources (IFOS)	No interest income	No interest income
Taxation of Interest Income	Added to income, taxed at applicable slab rates	Not applicable	Taxation depends on purchase date
Short term tax	(≤ 1 year): Taxed at slab rate	(≤ 2 years): Taxed at slab rates	(≤ 1 year): Taxed at 20% with indexation
Long term tax	(> 1 year): 12.5% flat, without indexation (if sold after 23 Jul 2024); pre-23 Jul 2024 you could opt for old regime (20% indexation or 10% without).	(> 2 years): Taxed at 12.5% without indexation	(> 1 year): Taxed at 12.5% without indexation
GST Applicability	Not applicable	Yes, applicable on purchase	Yes, applicable on purchase
Expense Ratio (for MFs/ETFs)	Not applicable	Not applicable	Typically around 1%
Liquidity	Tradable on stock exchanges	Lower liquidity compared to SGBs	Tradable on stock exchanges
Risk	Minimal, no physical risk	Risk of theft, damage, purity	Market and liquidity risks
Exit Option	From 5th year onwards, on interest payment dates	Sale anytime	Sale anytime

Taxability of Investment Instruments - EEE, EET and ETE

Scheme	Investment Stage	Accumulation Stage	Withdrawal Stage	Examples
Exempt-Exempt-Exempt (EEE)	Deduction from taxable income	Income exempt from tax	Maturity proceeds exempt from tax	PPF, EPF
Exempt-Exempt-Taxable (EET)	Deduction from taxable income	Income exempt from tax	Annuities/withdrawals taxable at slab rates	NPS
Exempt-Taxable-Exempt (ETE)	Deduction from taxable income	Income taxable at slab rates	Maturity proceeds exempt from tax	NSC, Tax Saver Fixed Deposits

Income From Other Sources

- As per section 2(24) of the Income Tax Act, the definition of 'income' is inclusive and not exhaustive. It includes all forms of income unless specifically exempted.

Categories of Income

1. Recurring Income:

- Income received regularly at equal intervals.
- Examples: Interest from savings accounts, fixed deposits, recurring deposits, post office savings.

2. Non-recurring Income:

- Income received sporadically or as a one-time
- Incomes received either in **cash or kind**, both are taxable.
- Both legal and illegal incomes are taxable under this head.

Interest on Deposits

Taxation on Interest Income

- Taxable under "Income from Other Sources"
- Includes interest from savings accounts, fixed deposits, Post Office schemes, cooperative societies, etc.

Deductions

1. Section 80TTA:

- Up to Rs 10,000 deduction on interest from savings accounts (banks, co-operative societies, Post Office)
- Not applicable to deposits held by firms, AOPs, or BOIs

2. Section 80TTB (For Senior Citizens):

- Up to Rs 1,00,000 deduction on interest from savings accounts and fixed deposits

Taxation on Interest Income

- Taxable under "Income from Other Sources"
- Includes interest received from loans given to family, friends, or for other purposes.

Inclusion in Gross Total Income

- All interest incomes (from loans, savings accounts, fixed deposits, Post Office schemes, etc.) are combined and added to the gross total income for taxation

Interest on Securities (other than dividend from Indian companies)

Interest on securities includes interest on:

- Securities of the Central or State Government.
- Debentures or securities issued by local authorities, companies, or corporations established by Central, State, or Provincial Acts.

Taxable Basis:

- **Cash Basis:** Taxed on receipt.
- **Mercantile System:** Taxed on due basis.

If interest was not taxed on due basis in a previous year, it is taxed on receipt basis.

Exemptions: Interest on notified securities, bonds, and certificates under Section 10(15).

Interest on Securities (other than dividend from Indian companies)

Taxation of Dividends:

General Rule:

- Dividend income from Indian companies is taxable under "Income from Other Sources" at slab rates (effective from 01-04-2020).

Tax Deduction at Source (TDS):

- Domestic companies must deduct 10% TDS on dividends exceeding ₹5,000 per financial year under Section 194.
- The dividend up to ₹5,000 is not exempt from tax; all dividend income must be reported and taxed accordingly.

Deemed Accrual:

- Dividend paid by an Indian company is considered to accrue or arise in India and is limited to the amount of the company's accumulated profits.

- Gifts (money/property) received without or with inadequate **consideration exceeding ₹50,000** are taxable as 'Income from Other Sources'.
- Applicable to individuals, Hindu Undivided Families (HUFs) (after Oct 1, 2009), and all persons (after Apr 1, 2017).

Exemptions:

1. Gifts from relatives.
2. Gifts received on the occasion of an individual's marriage.
3. Gifts received by will/inheritance.
4. Gifts received in contemplation of death.
5. Gifts from local authorities.
6. Gifts from certain educational, medical, and charitable institutions (Section 10(23C), Section 12A/12AA).
7. Shares received due to demerger/amalgamation (from AY 2017-18).

1. Gifts of Cash and Kind:

- Aggregate value of gifts up to ₹50,000 in a year is exempt.
- All transactions within the year are summed to determine the total amount.

2. Gifts of Movable Assets:

- If the total fair market value of movable assets received without consideration exceeds ₹50,000, the entire amount is taxable.
- If received for consideration less than fair market value by more than ₹50,000, the difference is taxable.

Valuation:

- **Purchased from Registered Dealer:** Invoice value is the fair market value.
- **Received by Other Modes:** Price it would fetch in the open market on the valuation date.

₹50,000 limit considers the total of all transactions in the year, not individual transactions.

Taxable Winnings Includes: Lotteries, crossword puzzles, races, card games, gambling, betting, TV contests, online games, etc.

Tax Rate: Flat rate of 30% on gross winnings (Section 194B)

Threshold for TDS:

- No TDS up to Rs 10,000 in a financial year
- Beyond Rs 10,000, TDS at 30%

Prizes in Kind: If prize is part cash, part kind: TDS from cash prize based on total value

Grossing Up: If net amount received after tax deduction, gross up to calculate tax:

$$\text{Gross amount} = \text{Net amount} / (1 - \text{tax rate})$$

Nature of Income Includes: Winnings from races (excluding owning and maintaining racehorses)

Tax Rate: Flat rate of 30% on gross winnings (Section 194BB)

Threshold for TDS:

- No TDS up to Rs 5,000 in a financial year.
- Beyond Rs 5,000, TDS at 30%.

Grossing Up: If net amount received after deduction of tax, gross up to calculate tax:

$$\text{Gross amount} = \text{Net amount} / (1 - \text{tax rate})$$

Rental Income

On letting out plant, machinery, furniture and attached premises to such plant

Aspect of Rental Income	Tax Treatment
Income from Machinery, Plant, or Furniture	Taxable under "Income from Other Sources" if not taxable under "Profits and Gains of Business or Profession".
Inseparable Lettings	If machinery, plant, furniture, and attached premises are let as part of the same inseparable transaction (cannot be let separately), taxed under "Income from Other Sources".
Separate Fixation of Sum	Even if rent for different assets is fixed separately, if they are inseparable, taxed under "Income from Other Sources".
Building Let-Out with Other Assets	• Building Rent: Assessed as "Income from House Property". • Other Assets (e.g., machinery, plant, furniture): Assessed as "Income from Other Sources".

Advance money received and forfeited in the course of negotiations on transfer of a capital asset:

Tax Treatment:

- If any sum of money received as an advance during negotiations for the transfer of a capital asset is forfeited and the transfer does not occur, the forfeited amount is taxable.
- This income is chargeable to income-tax under the head "**Income from other sources**".

Conditions:

1. Applicable only if the advance money is forfeited during the previous year.
2. The asset involved must be a "capital asset".

Income which the assessee has not disclosed in their Income Tax return and on which income tax has not been paid.

Tax Treatment:

- Income from undisclosed sources is charged tax *at a flat rate of 60% under Section 115BBE* of the Income Tax Act, 1961.
- No basic exemption, allowance, or expenditure is allowed in computing such deemed income.

Onus of Proof:

1. The burden of satisfactorily explaining such credits rests on the person in whose books the income is credited.
2. The explanation is considered valid only if the source of funds is also explained by the recipient.

Agricultural Income (Meaning And Tax Treatment)

➤ Agricultural income means:

- Rent or revenue from land in India used for agricultural purposes.
- Income from agricultural operations, including processing agricultural produce.
- Income from farmhouses subject to conditions.
- Income from saplings or seedlings grown in a nursery.

Exemption:

- Agricultural income is exempt from income tax under Section 10(1).

Agricultural Income (Cont.)

Tax Treatment: Income Tax Will Be Computed In The Following Manner:

STEP 1	Compute net agricultural income as if it were taxable.
STEP 2	Calculate Tax on : Agricultural + non-agricultural income
STEP 3	Calculate Tax on: Net Agricultural Income + Maximum Exemption Limit As Per Slab Rate
STEP 4	Subtract tax from Step 3 from tax in Step 2.
STEP 5	Find out the balance: Add Surcharge, Education Cess.
<i>The amount so arrived will be the total income tax payable by the assessee.</i>	

Partial Integration applies if:

1. Profit is not sufficient to pay F.O.A, O.B, F.C.H, a dividend.
2. Profit exceeds deemed F.O.C. i.e. further function.
3. Agricultural income exceeds Rs. 5,000/-

Family Income Received by a Member of HUF

Exemption: Any sum received by an individual as a member of a Hindu Undivided Family (HUF) from the HUF's income or estate is exempt from tax.

Reason: The HUF's income is taxed in the hands of the HUF itself, not the individual member.

Illustrations

Atul has personal income of Rs 7,00,000 for the year 2023-24. He is also a member of an HUF, which has an income of Rs 4,00,000 for the year 2023-24. Out of this, Atul gets Rs 2,00,000 as his share of income. This Rs 2,00,000 will be exempt in the hands of Atul by virtue of Section 10(2) and he will pay tax only on his income of Rs 7,00,000.

Leave Travel Concession (LTC)

LTC extended by an employer for travel within India with family* is exempt.

SITUATION	AMOUNT OF EXEMPTION
Journey by Air:	Amount of economy class air fare of the national carrier by the shortest route or the amount spent, whichever is less.
Journey by Rail:	Amount of air-conditioned first-class rail fare by the shortest route or amount spent, whichever is less.

NOTE:

1. Spouse, children (including stepchild and adopted child), and dependent parents, brothers, and sisters.
2. Excludes more than two surviving children if born on or after October 1, 1988.

1. Gratuity received by an employee on retirement or by dependents on death of employee
2. Commuted value of pension
3. Leave Encashment including on retirement
4. Voluntary retirement/separation compensation
5. House Rent Allowance

The exemption of the aforementioned topics is already covered in detail in the previous sections. Kindly refer to the previous chapter to learn how the exemption is calculated.

Life Insurance Policy Proceeds

- Any sum received (other than from a Keyman insurance policy) on the death of a person is exempt from income tax.

For a life insurance policy, where the sum of money is not received on account of death:

Policy Issued Date	Exemption Criteria
Up to March 31, 2003	Entire amount is exempt
April 1, 2003 - March 31, 2012	Entire amount is exempt if premium < 20% of the sum assured
April 1, 2012 - March 31, 2013	Entire amount is exempt if premium < 10% of the sum assured
From April 1, 2013 onwards	(Normal Individuals) - Entire amount is exempt if premium < 10% of the sum assured
From April 1, 2013 onwards	(Disability/ Critical Illness) - Entire amount is exempt if premium < 15% of the sum assured

The sum insured is not considered as ‘income’ and therefore, exempt from tax subject to additional conditions listed below:

- 1

2
- The sum insured under a life insurance policy is not taxable if the aggregate premium paid for the policy does not exceed Rs 5 lakh in a financial year.
 - This rule is applicable to multiple policies as well, where the aggregate annual premium exceeds Rs 5 lakh.

New Rule (Effective April 1, 2023):

- If the aggregate premium in a financial year on all endowment policies (except ULIPs) exceeds Rs 5 lakh, the maturity amount is taxable.
- This rule is applicable to multiple policies as well, where the aggregate annual premium exceeds Rs 5 lakh.

Amount received on maturity from Public Provident Fund, statutory Provident Fund

Public Provident Fund (PPF): Contributions up to Rs 1,50,000 per year, eligible for tax deduction under section 80C.

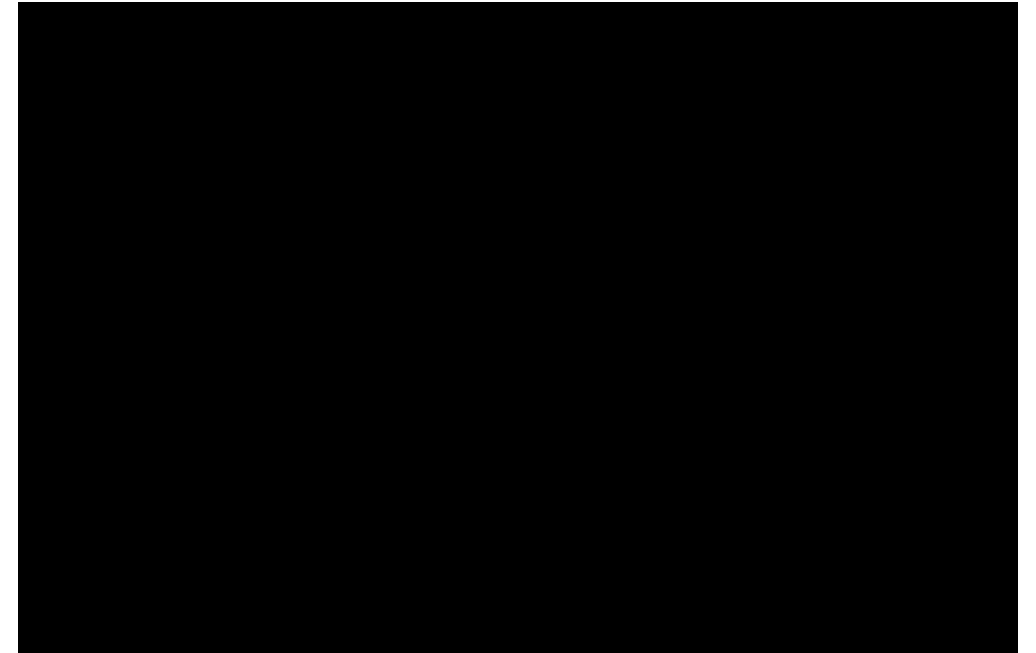
Tax treatment of Employees Provident Fund

	Statutory Provident Fund	Recognized Provident Fund	Unrecognized Provident Fund
Interest credited to Provident Fund	Exempt from tax	Exempt from tax if rate of interest does not exceed notified rate of interest, [i.e. 9.5 %] excess of interest over notified rate of interest is taxable	Exempt
Lump sum payment at the time of retirement or termination of service	Exempt from tax	Exempt from tax in some cases (refer note 1 below); when not exempt the Provident Fund will be treated as an unrecognized fund from the beginning (refer note 2 below)	Refer note 2 below.

Sukanya Samridhhi Scheme (Sec. 10(11A)):

Sukanya Samridhhi Scheme (Sec. 10(11A)): Salient features of the scheme are as below:

- **Eligibility:** For a girl child up to 10 years old; one account per child, maximum two accounts.
- **Contribution Limit:** Minimum Rs 250; maximum Rs 1,50,000 per year.
- **Interest:** Compounded yearly, government-notified rate.
- **Withdrawals:** Allowed for education expenses upon attaining 18 years, up to 50% of the preceding year's balance.
- **Maturity:** At 21 years from account opening or on marriage, whichever is earlier.
- **Tax Benefits:** Contributions, interest, and withdrawals are tax-exempt.



➤ (Sec. 64(1A)) All income of a minor child is clubbed with the income of the parent with the higher income.

Key Notes:

- **Consistent Clubbing:** If a child's income is clubbed with a parent, it continues to be clubbed with that parent in subsequent years regardless of changes in the parents' incomes.
- **Separated Parents:** If parents are separated, the child's income is clubbed with the parent maintaining the child.
- **Orphaned Child:** If both parents are deceased, the minor's income is not clubbed with any other relative's income.
- **Exemption:** Parents can claim an exemption of Rs 1,500 per minor child's income. If the income is less than Rs 1,500, the exemption is limited to the income amount.

Receiving Money from Lender:

- **Exemption:** Under Section 10(43) of the Income Tax Act, any amount received (lump-sum or installments) from banks is fully exempt from tax.

Post-Borrower's Death or Permanent Departure:

1. Property Sold by Lender:

- The property is sold to repay the loan and accumulated interest.
- The capital gains liability falls on the borrower (if alive) or the legal heirs, not on the lender.

2. Property Retained by Legal Heirs:

- If the legal heirs repay the loan without selling the property, no tax implications arise as redemption does not count as a transfer.

Receiving Annuity from Life Insurance Company:

Lump Sum to Insurance Company:

- The lender may hand over the loan amount as a one-time lump sum to a life insurance company instead of the borrower receiving direct payments.

Taxable Annuity:

- The life insurance company pays periodic amounts to the borrower as an annuity.
- This annuity received by the borrower is taxable.

- However, deductions are not allowed from the following incomes, although these incomes are part of the Gross Total Income:

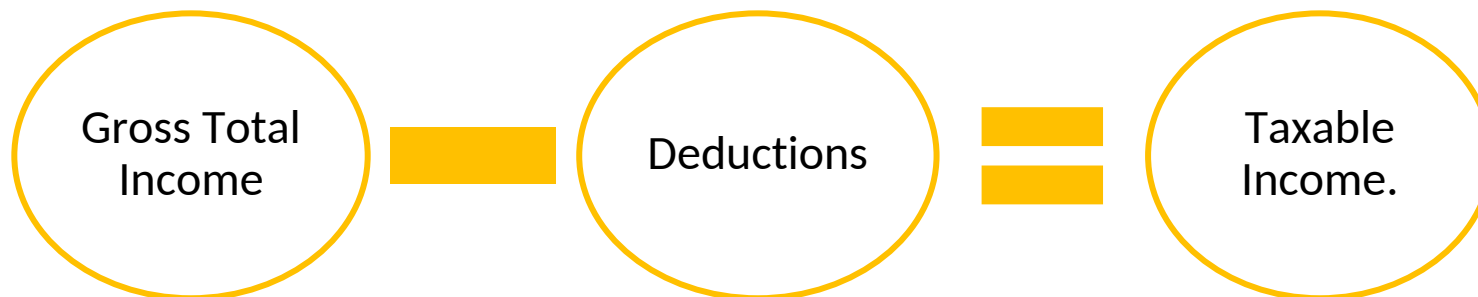
Long term capital gains.

Short term capital gain on transfer of shares and units of equity oriented funds through a recognized stock exchange.

Winnings of lotteries, races, etc.

Incomes referred to in sections 115A, 115AB, 115AC, 115ACA, 115AD and 115D.

- The aggregate amount of deductions under sections 80C to 80U cannot exceed the Gross Total Income.
- The income arrived at, after claiming the above deductions from the Gross Total Income, is known as the Total Income or the Taxable Income.



Old Tax Regime Vs New Tax Regime

Old Tax Regime		New Tax Regime
• Allows taxpayers to avail deductions and exemptions under various sections (80C to 80U). • Tax rates are structured with higher rates for higher income brackets. • Default choice until AY 2023-24		• Aimed at simplifying tax calculations and reducing compliance burden. • Provides lower tax rates without allowing any deductions or exemptions (except specific exemptions like LTCG up to Rs 1.25 lakh). • Introduced from AY 2021-22 and made the default choice from AY 2024-25 onwards.

- Taxpayers can opt for either regime at the beginning of each financial year (previous year).
- The choice between regimes depends on individual financial circumstances, income sources, and tax planning strategies.

Standard Deduction & Professional Tax

- **Old Tax Regime (Introduced in FY 2018-19)**
 - ✓ **Effective Amount:** Rs 50,000
 - ✓ **Applicability:** Available to taxpayers opting for the old tax regime.
- **New Tax Regime (Budget 2023 Amendment) Assessment Year 2025 -**
 - ✓ **Effective Amount:** Rs 75,000
 - ✓ **Applicability:** Extended to taxpayers opting for the new tax regime.

Professional Tax

Tax Treatment Under Income Tax (Section 16(iii))

- **Deduction:** Any sum paid by the assessee towards professional tax is deductible under section 16(iii) if actually paid by the employee.

Employer contributions to statutory and recognized PF and NPS

1. Statutory Provident Fund

- **Employer Contribution:** Exempt from tax.

2. Recognized Provident Fund

- **Employer Contribution:** Exempt from tax up to 12% of salary (Includes basic salary, DA and commission.)

3. National Pension System (NPS)

- **Employer Contribution:** Matching contribution required alongside the employee's contribution.

Tax Treatment for NPS:

- Employee's contribution up to 14% of salary is exempt from tax.
- Employer's contribution up to 14% of salary is exempt from tax.
- On withdrawal, if the employee has opted for the lump sum mode, the entire amount is taxable as income. If the employee has opted for the annuity mode, the annuity payments are taxable as income.

Deductions u/s 80 C

- **Purpose:** Allows deductions from total income for specific investments or expenses.
- **Limit:** 100% of the amount invested or Rs. 1,50,000, whichever is less.

Eligible Investments/Expenses:

1. Life Insurance Premiums:

- **For Individuals:** Own life, spouse, or any child (dependent/independent).
- **For HUF:** Any member of the family.

2. Deferred Annuity Plans:

- **Non-Commutable:** In the name of the individual, spouse, or any child.
- **Government Employees:** Deductions for deferred annuity (max 20% of salary).

3. Provident Fund Contributions:

- **Statutory and Recognized Provident Fund:** Contributions in individual, spouse, or child's account.
- **Public Provident Fund (PPF):** Max contribution of Rs. 1,50,000 per year.

4. **Superannuation Funds:** Contributions towards approved superannuation funds.
5. **Sukanya Samriddhi Account:** Contributions for girl child or if the individual is a girl child.
6. **Unit Linked Insurance Plan (ULIP):**
 - **For Individuals:** Own life, spouse, or any child.
 - **For HUF:** Any member of the family.
7. **Mutual Fund Subscriptions:** Notified units and pension funds set up by Mutual Funds.
8. **Home Loan Schemes:**
 - Notified Home Loan Account Scheme by National Housing Bank.
 - Contributions to notified pension schemes by National Housing Bank.
9. **Housing Investments:**
 - Public sector company schemes for residential finance (e.g., HUDCO).
 - Housing Board schemes for city/town development.

10. **Annuity Plans:** Notified plans of LIC or any other insurer.
11. **Tuition Fees:** For full-time education of up to two children (excluding development fees/donations).
12. **Post Office Schemes:** Five-year time deposit schemes.
13. **Housing Payments:** Payments towards purchase/construction to housing boards, co-operative societies, or housing loans from approved entities.
14. **Infrastructure Investments:** Approved debentures/equity shares in public companies (infrastructure, power sector).
15. **Term Deposits:** Five years or more term deposits under Government schemes.
16. **NABARD Bonds:** Notified bonds of National Bank for Agriculture and Rural Development.
17. **Senior Citizens Saving Scheme:** Deposits under the Senior Citizens Saving Scheme.

Deductions under Section 80CCC

- **Eligibility:** Available only to individuals.
- **Purpose:** Contributions must be made for an annuity plan that provides a pension.
- **Source of Funds:** Payments or deposits should be made out of income chargeable to tax.
- **Maximum Deduction:** Up to Rs 1,50,000 can be claimed as a deduction under Section 80CCC.

Deductions under Section 80CCD

Section 80CCD (1)

- **Employee's Contribution to NPS:** Deduction is available in the year the contribution is made.
- **Limitation:** Deduction is limited to 10% of the salary of the employee.
- **Eligibility:** Applicable to contributions made by the employee towards the National Pension System (NPS).

Section 80CCD (2)

- **Employer's Contribution to NPS:** Deduction is available to the employee for the contribution made by the employer.
- **Limitation:** Also limited to 10% of the salary of the employee.
- **Tax Treatment:** Employer's contribution is included under the head "Salaries" in the hands of the employee, but is deductible under Section 80CCD (2).

Section 80CCD(1B):

- Allows for an additional deduction of up to **Rs 50,000 per financial year over and above the limit of Rs 1,50,000 provided under Sections 80C, 80CCC, and 80CCD(1).**

Deductions under Section 80CCE

80CCE - LIMIT ON DEDUCTIONS UNDER SECTIONS 80C, 80CCC AND 80CCD.

- **Deduction Limits:** The total deduction that can be claimed under Sections 80C, 80CCC, and 80CCD(1) combined cannot exceed Rs 1,50,000 in any financial year.
- **Exclusion of Employer's Contribution:** The employer's contribution to NPS, which is covered under Section 80CCD(2), does not count towards the Rs 1,50,000 limit. This contribution is treated separately and has its own limit of up to 10% of the employee's salary.

SECTION	PARTICULARS	CEILING LIMIT (RS)
80C	Investment in LIP, Deposit in PPF/SPF/RPF etc.	1,50,000
80CCC	Contribution to certain pension funds	1,50,000
80CCD(1)	Contribution to NPS of Government	10% of salary Or 20% of GTI
80CCE	Aggregate deduction under sections 80C, 80CCC & 80CCD(1)	1,50,000

Deductions under Section 80D are available for medical insurance premiums paid, subject to certain conditions and limits. Here's an overview:

Eligibility Criteria:

1. **Taxpayer:** Available to individuals (resident or non-resident) and Hindu Undivided Families (HUFs).
2. **Payment:** Premium must be paid from income chargeable to tax and not in cash (except for preventive health check-ups).

Beneficiaries Covered:

- **Family:** Includes taxpayer, spouse, and dependent children.
- **Parents:** Deduction is available for parents (whether dependent or not).

Medical treatment (Section 80DD)

Section 80DD: Deduction for Dependent with Disability

- **Eligibility:** Resident individual/HUF
 - **Purpose:** Medical treatment, training, rehabilitation, or approved scheme deposit for a dependent with a disability.
 - **Deduction Amount:**
 - Rs 75,000 (disability)
 - Rs 1,25,000 (severe disability)
 - **Conditions:** Requires medical certificate; reassessment needed if specified.
1. **"Person with disability"** means a person who suffers **40%** or more of any of the following: blindness, low vision, leprosy-cured, hearing impairment, locomotor disability, mental retardation and mental illness.
 2. **"Person with severe disability"** means a person with **80%** or more of one or more disabilities.

Medical treatment (Section 80DDB)

- **Eligibility:** Resident individual/HUF
- **Purpose:** Medical treatment of specified diseases for self or dependents
- **Deduction Amount:**
 - Rs 40,000 (general)
 - Rs 100,000 (senior citizen)
- **Conditions:** Requires specialist's prescription; deduction reduced by insurance/employer reimbursement

Dependent:

- For individual - spouse, children, parents, siblings;
- For HUF - any member dependent on HUF

Deduction for Self with Disability: Section 80U:

- **Eligibility:** Resident individuals
- **Purpose:** Deduction for self being disabled
- **Deduction Amount:**
 - Rs 75,000 (non-severe disability)
 - Rs 1,25,000 (severe disability)
- **Conditions:** Requires disability certificate

Approved Donations (Section 80G)

Eligibility: All taxpayers (resident or non-resident individuals, companies, firms, or any other persons)

Conditions for claiming deduction under this section are:
1. Donations must be in money (not in kind).
2. Donations must be made to specified funds/institutions.
3. Donations above Rs 2,000 must be made through non-cash modes.
4. Proper proof of payment is required.

- Again in some cases, deduction is allowed to the **extent of 100% of the donation** and in some cases, it is allowed to the **extent of 50% of the donation**.

Approved Donations (Section 80G)

The quantum of deduction in respect of various kinds of donations is given as under:

A. Donations made to the following are eligible for 100% deduction without any qualifying limit:

National Defense Fund set up by the Central Government;

PM CARES FUND;

Prime Minister's Armenia Earthquake Relief Fund;

Africa (Public Contributions - India) Fund;

National Foundation for Communal Harmony;

University or any educational institution of national eminence as may be approved by the prescribed authority;

Maharashtra Chief Minister's Earthquake Relief Fund;

National Blood Transfusion Council or any State Blood Transfusion Council;

National Children's Fund;

National Fund for Control of Drug Abuse;

Clean Ganga Fund, set up by the Central Government, where such assessee is a resident;

Swachh Bharat Kosh, set up by the Central Government.

Approved Donations (Section 80G)

B. Donations made to the following are eligible for 50% deduction without any qualifying limit:

Prime Minister's Drought Relief Fund;

C. Donations made to the following are eligible for 100% deduction subject to qualifying limit:

Donation to Government/local authority, to be utilized for promoting family planning;

Any sums paid by the assessee, being a company, in the previous year as donations to the Indian Olympic association or to any other association or institution established in india, as the central government may, having regard to the prescribed guidelines, by notification in the official gazette, specify in this behalf for:

- The development of infrastructure for sports and games; or
- The sponsorship of sports and games, in India;

Approved Donations (Section 80G)

D. Donations made to the following are eligible for 50% deduction subject to qualifying limit:
Donations to Government/local authority for charitable purposes (other than family planning)
Donations for renovation/repair of notified historic places of worship
Donations to authorities for housing or city/town/village planning/development
Donations to corporations promoting minority community interests

Qualifying Limit: Aggregate donations under categories 3 and 4 are limited to 10% of Adjusted Gross Total Income (AGTI).

Deduction for Rent Paid by Self-Employed Individuals Section 80GG)

- 1. Who Can Claim:** Individuals (employees without HRA or rent-free accommodation, and self-employed persons).
- 2. Rent Payment:** Declaration must be given in Form No. 10BA.

Quantum of Deduction:

The deduction shall be the least of the following:

Excess of rent paid over 10% of 'Total Income'

25% of the 'Total Income'

Rs. 5,000 per month

Total income

=

Gross total income

-

Amount deductible under sections 80C to 80U

-

Long-term capital gains

-

Short-term capital gains under section 111A, and

-

Income under section 115A,

Interest on savings bank account under Section 80TTA/80TTB

Eligibility:

- **Who Can Claim:** Individuals or Hindu Undivided Families (HUFs), whether residents or non-residents.

Deductions:

Section 80TTA:

- *Up to Rs 10,000* deduction on interest from savings accounts (banks, co-operative societies, Post Office)
- Not applicable to deposits held by firms, AOPs, or BOIs

Section 80TTB (For Senior Citizens):

- *Up to Rs 1,00,000* deduction on interest from savings accounts and fixed deposits

Rebate under Section 87A

Eligibility:

- **Who Can Claim:** Individual residents in India.
- **Income Limit:**
 - **For Old Tax Regime:** Total income does not exceed Rs 5,00,000.
 - **For New Tax Regime (as per Budget 2025):** Total income does not exceed Rs 7,00,000 to 12,00,000.
- **Maximum Rebate:**
 - 100% of the income tax liability or Rs 12,500, whichever is less.

Note:

No deductions from the income are available if the assessee chooses to pay tax under the new tax regime, only standard deduction of Rs. 75,000 is available.

What is Clubbing of Income Provision?

- Clubbing of income refers to including income from specified persons into the income of another taxpayer for tax computation purposes.
- **Inclusion of Loss:** Even if the income is negative (loss), clubbing provisions apply, and the loss is included in the taxpayer's income.

Clubbing provisions are contained in section 60 to 64 of the Income Tax Act.

Transfer Of Income Without Transfer Of Asset (Sec 60)

- In cases when a taxpayer retains the ownership of an asset, but decides to transfer its income by doing an agreement or any other way, the Act will still consider that income as his income and it will be added to his total income for taxation purposes.

CONDITIONS	
1	The taxpayer owns an asset
2	The ownership of the asset is not transferred by him (he has retained the ownership of the asset).
3	Income from the asset is transferred to any person under a settlement, trust, covenant, agreement arrangement.
4	The above transfer may or may not be revocable.
5	The above transfer may have been effected at any time.
If the above conditions are satisfied, the income from the asset would be taxable in the hands of the transferor.	

Transfer Of Income Without Transfer Of Asset (Sec 60)

All income arising to any person by virtue of a revocable transfer of assets shall be chargeable to income-tax as the income of the transferor and shall be included in his total income. The transfer for this purpose includes any settlement, trust, covenant, agreement or arrangement.

The following provisions can be summarized:

1. The transferor is treated as the transferor if the transfer is made by a revocable transfer of assets.
2. Income from the transferor is taxable in the hands of the transferee or.
3. Such income is taxable as and when the person who transfers to or receives the income.
4. The rule is applicable even if the person who transfers to or receives the income is a minor.

Set Off And Carry Forward Of Losses

The provisions for set off or carry forward of losses are contained in sections 70 to 80 of Income Tax Act and it involves the following three steps:

Inter-source adjustment under the same head of income



Inter-head adjustment in the same assessment year (applied only if loss cannot be set-off under Step 1).



Carry forward of a loss (applied only if loss cannot be set-off under Steps 1 and 2).

Carry forward and set-off of business loss other than speculation loss (Sec. 72)

- Loss from a business (excluding speculative business) can be carried forward if not fully adjusted in the year incurred.
- It can only be set off against income under "Profits and gains of business or profession" in subsequent years.
- Must file the return on time (Section 139(1)) to carry forward the loss.
- **Carry forward period:** 8 assessment years; no limit for specified businesses.

Unabsorbed Depreciation:

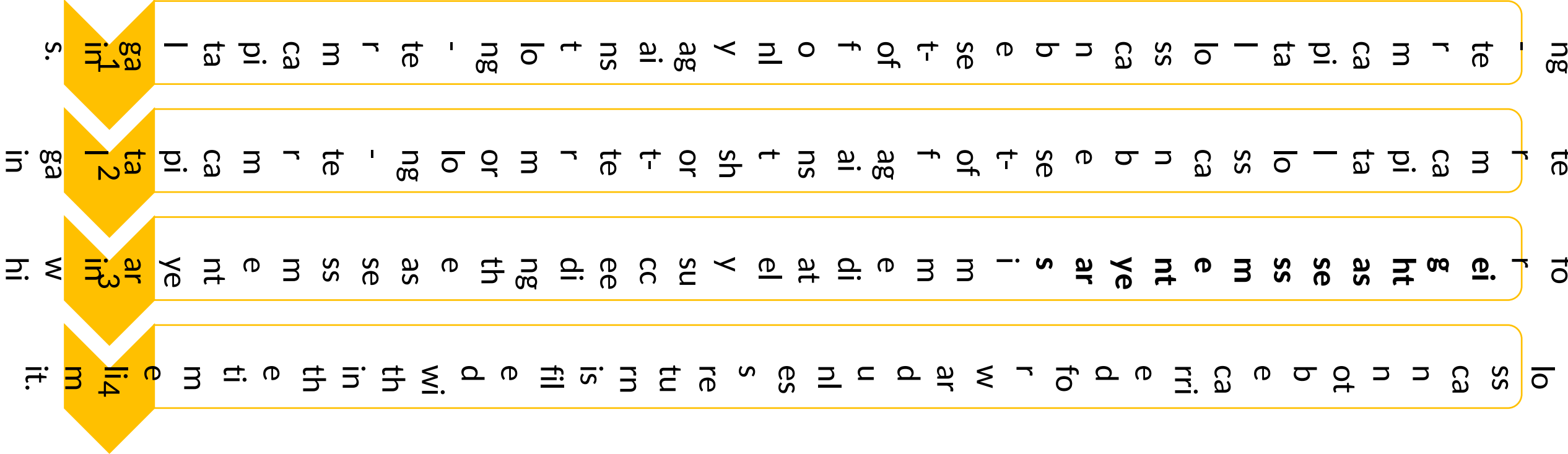
- Depreciation deducted from "Profits and gains of business or profession".
- Unabsorbed depreciation carried forward to subsequent years.
- Added to depreciation for the following year if not fully absorbed.

- **Set-Off in Same Year:** Loss from speculation business can only be set off against profits from another speculation business in the same assessment year.
- **Carry Forward:** If not fully set off, can be carried forward to subsequent years for set-off against income from any speculation business.
- **Carry Forward Period:** Up to **4 assessment years** immediately following the year in which the loss was first computed.
- **Return Filing:** Must file the return before the due date to carry forward such loss.

NOTE:

1. The same speculation business **doesn't need to continue** in the assessment year in which the loss is set off.
2. Provisions of Section 72(2) regarding depreciation or capital expenditure on scientific research apply to speculation business as they do to other businesses.

Capital Loss: Set-Off Rules



LOSS FROM HOUSE PROPERTY

1. Section 71B:

- Loss under "Income from house property" not fully adjusted in the same year can be carried forward.
- Carry forward period: **Up to 8 assessment years** from the year the loss was first computed.
- Set-off against income from house property in subsequent years.

2. Section 71(3A):

- Set-off of loss from house property against income from any other source is restricted to **Rs 2 lakh per annum** from Assessment Year 2018-19 onwards.

Deduction and Collection of Tax on Source

- As per Income Tax Act, any company or person making a payment is required to deduct tax at source (TDS) if the payment exceeds certain threshold limits.

Quarter Ending	Due Date For Filing Of TDS Return (Both For Government And Other Deductor)	Due Date For Filing Of TCS Return
30th June	31st July	15th July
30th September	31st October	15th October
31st December	31st January	15th January
31st March	31st May	15th May

Tax Deducted at Source (TDS)

Certificate of TDS

1. **Form No. 16:** Issued annually for TDS deducted from salary payments.
2. **Form No. 16A:** Issued quarterly for TDS deducted from payments other than salary.

FORM NO. 16 [See rule 31(I)(a)] PART A Certificate under section 203 of the Income-tax Act, 1961 for Tax deducted at source on Salary					
Certificate No.			Last updated on		
Name and Address of the Employer National Enterprises Koramangala Bangalore			Name and Designation of the Employee Arun Kumar		
PAN of the Deductor		TAN of the Deductor		PAN of the Employee	
CIT 1A		BLRP00777A		Employee Reference No. provided by the Employer (If available)	
CIT (TDS) Address : No. 225, Race Course Road City : Bangalore Pincode : 560001			Assessment Year 2021 - 2022		Period From 1-Apr-2020 To 31-Mar-2021
Summary of amount paid/credited and tax deducted at source thereon in respect of the employee					
Quarter(s)	Receipt Numbers of original statements of TDS under sub-section(3) of section 200	Amount paid /credited	Amount of tax deducted in respect of the employee	Amount of tax deposited / remitted in respect of the employee	
Quarter 1	12587452	1,80,000.00	1,360.00	1,360.00	
Quarter 2	44555555	1,80,000.00	17,486.00	17,486.00	
Quarter 3	48754855	1,80,000.00	26,229.00	26,229.00	
Quarter 4	54125444	1,80,000.00	78,685.00	78,685.00	
Total		7,20,000.00	1,23,760.00	1,23,760.00	
I. DETAILS OF TAX DEDUCTED AND DEPOSITED IN THE CENTRAL GOVERNMENT ACCOUNT THROUGH BOOK ADJUSTMENT (The Employer to provide the payment wise details of tax deducted and deposited with respect to the employee)					
S.No.	Tax Deposited in respect of the employee (Rs.)	Receipt Numbers of Form No.24G	DDO Sequence Number in the Book Adjustment Mini Statement	Date on which tax deposited (dd/mm/yyyy)	Status of matching with Form No.24G
Total					
II. DETAILS OF TAX DEDUCTED AND DEPOSITED IN THE CENTRAL GOVERNMENT ACCOUNT THROUGH CHALLAN (The Employer to provide the payment wise details of tax deducted and deposited with respect to the employee)					
S.No.	Tax Deposited in respect of the employee (Rs.)	BSR Code of the Bank Branch	Date on which tax deposited (dd/mm/yyyy) Statement	Challan Serial Number	Status of matching with OLTAS*
1	1,360.00	7777777	30-Jun-2020	55555	
2	17,486.00	9999999	30-Sep-2020	66666	
3	26,229.00	6666666	31-Dec-2020	22222	
4	78,685.00	2222222	31-Mar-2021	33333	
Total	1,23,760.00				
Verification I Suresh son/daughter of Siva Working in the capacity of Manager (designation) do hereby certify that a sum of Rs. 1,23,760.00 [INR One Lakh Twenty Three Thousand Seven Hundred Sixty (in words)] has been deducted at source and paid to the credit of the Central Government. I further certify that the information given above is true and correct based on the books of account, documents and other available records.					
Place : Bangalore Date : 23-May-2021			Signature of person responsible for deduction of tax		

Tax Deducted at Source (TDS)

Salaries, Fees on Professional and Technical Services

As per section 194J, tax is deducted in respect of the following payments to a resident:

Fees for professional services,
Fees for technical services,
Director's fees (not in the nature of salary)
Royalty
Any sum referred to in clause (va) of section 28 [i.e. non-compete fee].

NOTES:

- **Section 195:** TDS provisions for payments made to non-residents are governed by Section 195, where tax is deducted at rates specified under the law for such payments.

Tax Collected at Source (TCS)

Under Section 206 C tax is collected at source in the following cases:

Category A:

Sale of Specified Goods (Liquor, Tendu Leaves, Timber, Scrap, Minerals):

- **Applicability:** Sellers including Government, local authorities, corporations, firms, individuals, and HUFs are required to collect TCS from buyers for the sale of specified goods.
- **Tax Rate:** The tax rates vary depending on the goods, ranging from 1% to 5%.
- **Collection Time:** Tax is collected at the time of debiting the amount payable by the buyer to the seller's account or at the time of receipt of payment, whichever is earlier.



Tax Collected at Source (TCS)

Category B:

Lease/License of Parking Lots, Toll Plazas, Mines:

- **Applicability:** Persons granting lease or license for parking lots, toll plazas, or mines collect TCS at 2% from the lessee or licensee.
- **Collection Time:** Tax is collected at the time of credit or payment, whichever is earlier.



Tax Collected at Source (TCS)

Category D:

Sale of Motor Vehicles (Value Exceeding Rs. 10 Lakh):

- **Applicability:** Sellers receiving consideration for the sale of motor vehicles exceeding Rs. 10 lakh collect TCS at 1%.
- **Exceptions:** TCS is not applicable if the buyer is the Government, Embassy, High Commission, or a Public Sector Company engaged in passenger transportation.



Penalty in case of failure to deduct TDS/TCS

As per Section 201(1A) of the Income Tax Act, if a person liable to deduct tax at source:

Interest @ 1%	Every month or part of a month on the amount of such tax from the date the tax was deductible to the date it was actually deducted.
Interest @ 1.5%	Every month or part of a month on the amount of such tax from the date the tax was deducted to the date it is actually paid to the credit of the Government.

- **As per section 206C(7)**, if the person responsible for collecting tax does not collect the tax or after collecting the tax fails to pay it to the credit of Government within the due date prescribed in this regard, then he shall be liable to pay simple interest at the rate of **1% per month** or part thereof on the amount of such tax.

Cash Payment Over A Specified Limit

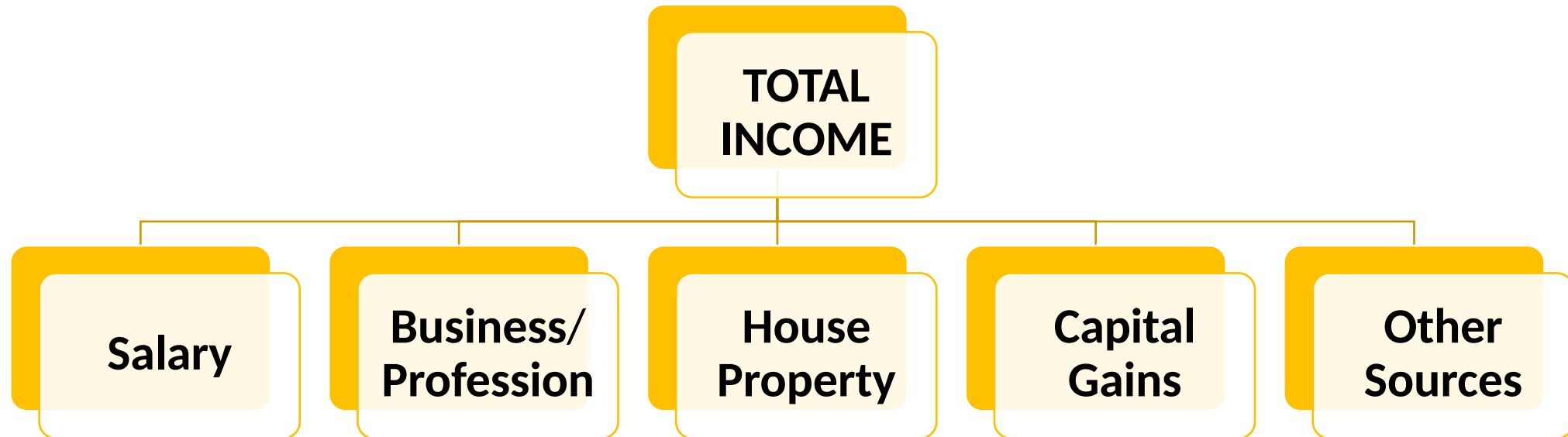
Section 269ST Prohibitions: No person shall receive Rs 2 lakh or more:

- In aggregate from a person in a day.
- In respect of a single transaction.
- In respect of transactions related to one event/occasion.

Exceptions: Receipts through Account Payee Cheque, Bank Draft, or electronic modes by .

1. Government.
2. Banking companies, post office savings banks, or co-operative banks.
3. Transactions under Section 269SS.

- All income must be classified under one of the following heads for tax purposes:



Income From All Sources

➤ Taxable income is computed as follows:

Compute the income under the above five heads of income.

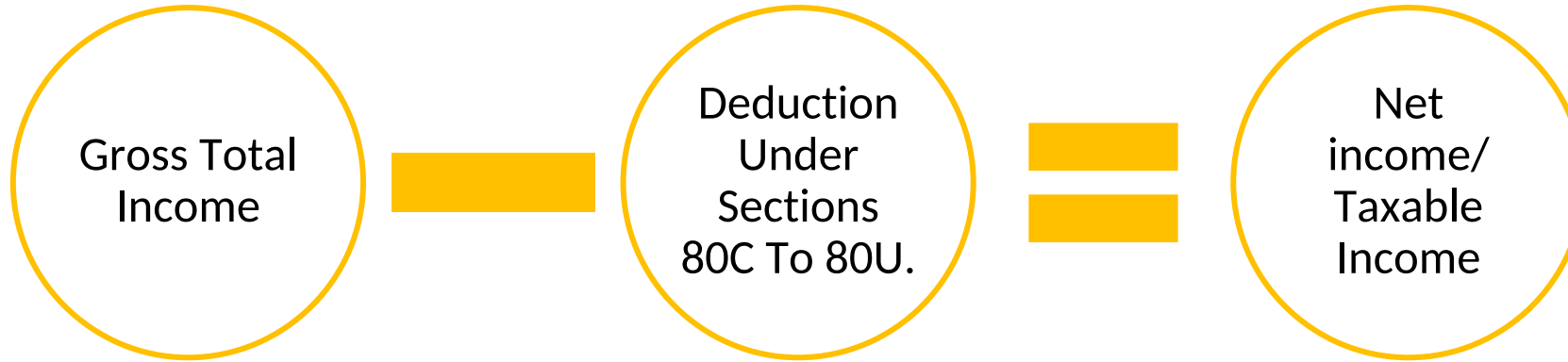
Adjustment of losses of the current year and earlier years according to the provisions under sections 70 to 80.

The balance income after adjustment of losses is the Gross Total Income.

Subtract deductions under sections 80C to 80U from Gross Total Income

Rounding off the balance amount, known as net income or taxable income to the nearest Rs. 10.

Admissible deductions – Net Income or Taxable Income



- **Special Nature Deductions:** Allowed for specified categories of taxpayers.
- **Sections 80C to 80GGC:** Deductions related to various investments and payments.
- **Sections 80-IA to 80U:** Deductions for certain types of income.
- **Limitation:** Total deductions under sections 80C to 80U cannot exceed the Gross Total Income.

(Refer previous chps for a detailed study of provisions under sections 80C to 80U).

Tax payable (liability) is calculated as follows:

NO.	STEPS TO BE FOLLOWED
1	Tax On Net Income
2	(Less): Rebate Under 87A
3	(Less): Income Tax After Rebate Under Section 87A [(1) - (2)]
4	Add: Surcharge
5	Find The Total [(3)+(4)]
6	Add: Health & Education Cess [4% Of (5)]
7	Find The Total Tax [(5)+(6)]
8	(Less): Rebate Under Section 86, 89, 90, 90A Or 91
9	Tax Liability [(7)-(8)]
10	Add: Interest/ Penalty, Etc.
11	(Less): Pre-paid
12	Tax Payable [(9) + (10) - (11)]

Tax As Per Slabs And Applicable Rates, Surcharge And Cess

Note 2: Marginal relief is available from surcharge in following manner-

Net Income Range	Marginal Relief
Exceeds Rs 50 Lakh but does not exceed Rs 1 Crore	Tax and surcharge payable shall not exceed the tax on Rs 50 Lakh by more than the income exceeding Rs 50 Lakh.
Exceeds Rs 1 Crore but does not exceed Rs 2 Crore	Tax and surcharge payable shall not exceed the tax on Rs 1 Crore by more than the income exceeding Rs 1 Crore.
Exceeds Rs 2 Crore but does not exceed Rs 5 Crore	Tax and surcharge payable shall not exceed the tax on Rs 2 Crore by more than the income exceeding Rs 2 Crore.
Exceeds Rs 5 Crore	Tax and surcharge payable shall not exceed the tax on Rs 5 Crore by more than the income exceeding Rs 5 Crore.

Advance tax is a system where the assessee deposits tax in installments throughout the financial year instead of a lump sum at the end.

Due Date	Advance Tax Payable
On or before June 15th	15% of advance tax
On or before Sep 15th	45% of advance tax
On or before Dec 15th	75% of advance tax
On or before March 15th	100% of advance tax

NOTES:

1. Advance tax is not required if the tax liability does not exceed Rs 10,000.
2. Senior citizens without business/professional income are exempt from paying advance tax.
3. Payments made on or before March 31 are considered as advance tax for the financial year.

If the last day for an installment falls on a bank holiday, payment can be made on the next working day without incurring mandatory interest under sections 234B and 234C.

Interest for Deferment (Section 234C):

Interest at 1% per month for 3 months is charged for deferment, except for the last installment on March 15, where it is 1% for one month.

Who should file Returns?

Compulsory Filing Requirements:

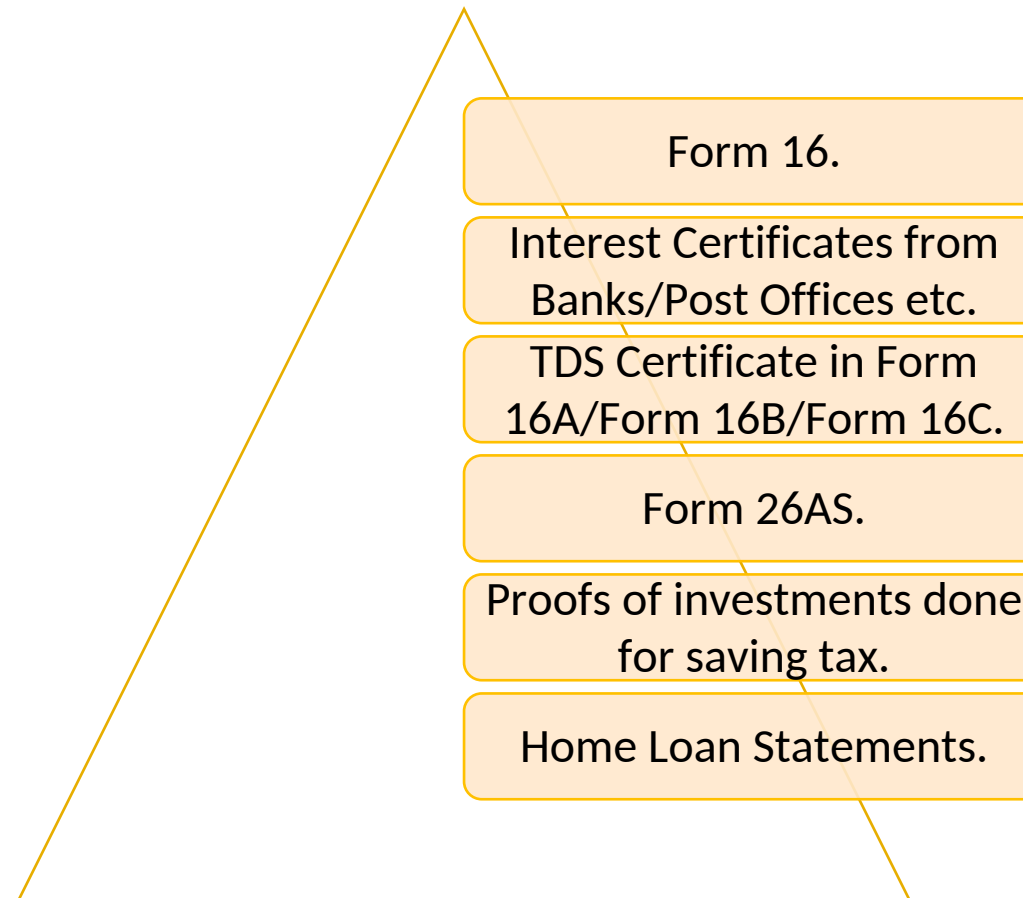
1. **Companies/Firms:** All companies and firms must file a return, regardless of income or loss.
2. **Individuals and HUFs:** Must file if income exceeds exemption limits:
 - **Rs 2,50,000 for individuals below 60 years.**
 - **Rs 3,00,000 for senior citizens (60-79 years).**
 - **Rs 5,00,000 for super senior citizens (80 years and above).**
3. **Trusts and Charitable Organizations:** Must file if income exceeds Rs 2,50,000 without claiming exemptions.
4. **Political Parties:** The Chief Executive Officer must file if the income exceeds Rs 2,50,000 without claiming exemptions.
5. **Educational Institutions and Investment Funds:** Universities, colleges, business trusts, and investment funds must file regardless of income or loss.

Appropriate Income Tax Return (ITR) Form

Form No.	Description
ITR 1 (Sahaj)	For individuals being a resident (other than not ordinarily resident) having total income up to Rs 50 lakh, having Income from Salaries, one house property, other sources (Interest etc), and agricultural income up to Rs 5,000.
ITR 2	For individual and HUF not having income from profit and gains of Business or Profession.
ITR 3	For individual and HUF having income from profit and gains of Business or Profession.
ITR 4 (Sugam)	For Individuals, HUFs and Firms (other than LLP) being a resident having total income upto Rs. 50 lakh and having income from business and profession which is computed under sections 44AD, 44ADA or 44AE
ITR 5	For person other than Individual, HUF, Company, and Person filing form ITR-7
ITR 6	For companies other than companies claiming exemption under section 11
ITR 7	For persons including companies required to furnish return under section 139(4A) or 139(4B) or 139(4C) or 139(4D) only
ITR - V	Where the data of the return of income in Form ITR 1, ITR 2, ITR 3, ITR 4, ITR 5, ITR 7 filed but NOT verified electronically

Appropriate Income Tax Return (ITR) Form

Some of the important documents required by an individual/HUF while filing his/her income tax return are:



Interest Payable On Default In Furnishing Return And Default In Payment Of Advance Tax

Interest For Default In Filing The Income Tax Return (Section 234a):

- If the income tax return is filed after the due date or not filed at all, simple interest at **1% per month** or part thereof is applicable.
- Interest is calculated from the day following the due date until the date of filing the return (if filed late) or until the end of the Assessment Year (if no return is filed).

Interest For Default In Payment Of Advance Tax (Section 234B):

- If the taxpayer fails to pay advance tax by the due dates or if the advance tax paid is **less than 90%** of the assessed tax, simple interest at **1% per month** or part thereof applies.
- Interest is calculated from the due date of advance tax payment until the actual payment is made, based on the shortfall in the advance tax paid.

Apart from penalty on late filing of income tax return, if the assessee makes a **mistake while filing his tax returns**, he has **time till March 31 of the AY or before the completion of the assessment, whichever is earlier**, to file his revised return.

Tax Refunds:

- A tax refund occurs when the taxes paid exceed the actual tax liability, including interest.
- Refunds can arise from advance tax, self-assessment tax, tax deducted at source (TDS), foreign tax credits, etc.
- Taxpayers often receive refunds after filing their tax returns, typically after the end of the tax year.